AGREEMENT BETWEEN OWNER AND CONTRACTOR

AGREEMENT made as of the 30th day of October 2023 between Englewood Cliffs Surgery Center, LLC (the "Owner"), and IMC Construction (the "Contractor"), for the Project known as Englewood Cliffs Ambulatory Surgery Center Fit-out located at 910 Sylvan Avenue, Englewood Cliffs, NJ 07632. **This Agreement is initially executed for the Preconstruction services as defined herein. In the event the Owner elects to proceed with the Construction phase of the work all terms and conditions herein shall apply.**

In consideration of the mutual covenants set forth herein, the OWNER and CONTRACTOR intending to be legally bound, agree as follows:

1. DEFINITIONS

1.1 Contract and Contract Documents.

1.1.1 The term "Contract Documents" shall mean this Agreement (the "Owner-Contractor Agreement"), the General Conditions of the Contract, Supplementary Conditions, if any, the Exhibits, the Drawings, the Specifications, all Addenda issued prior to and all Modifications issued after execution of this Owner-Contractor Agreement. These form the Contract, and all are as fully a part of the Contract as if attached to this Owner-Contractor Agreement or fully set forth herein. An enumeration of the Contract Documents appears in Subsection 1.1.2 below. The intent of the Contract Documents is to include all items necessary for the proper execution and completion of the Work by Contractor. The Contract Documents are complementary, and what is required by one shall be as binding as if required by all; however, if anything in the Contract Documents is inconsistent with this Owner-Contractor Agreement, the Clarifications and Qualifications in Contractor's Guaranteed Maximum Price Report shall govern. Terms used in this Owner-Contractor Agreement, which are not otherwise defined herein and are defined in the Contract Documents, shall have the meanings designated in the Contract Documents.

1.1.2 The Contract Documents which constitute the entire agreement between Owner and Contractor are enumerated as follows:

1.1.2.1 This Owner-Contractor Agreement with its Exhibits and General Conditions (Exhibit A) attached hereto and incorporated by reference:

1.1.2.2 The allowances ("Allowances") for the Work included in the accepted Guaranteed Maximum Price Proposal;

1.1.2.3 All Addenda and all Modifications to the Contract.

1.1.2.4 All fully executed Change Orders.

1.1.2.5 The drawings ("Drawings") for the Work which are described on the Schedule included in the accepted Guaranteed Maximum Price Proposal.

1.1.2.6 The specifications ("Specifications") for the Work which are described on the Schedule included in the accepted Guaranteed Maximum Price Proposal.

1.1.2.7 The Legal Description of Site, which describes the project site ("Project Site") and is attached hereto as Exhibit M.

1.1.3 Any documents furnished to Contractor that are not specifically identified in Subsection 1.1.2 as part of the Contract Documents do not form part of the Contract Documents and were furnished to Contractor for its information only, to be used by Contractor at its own

risk. Owner assumes no responsibility for the accuracy or completeness of such documents and Contractor, for itself and its Subcontractors, releases the Owner from any claim, liability, loss, cost or expense arising from its reliance upon or use of such documents but the Contract Sum shall be equally adjusted to the extent that any information provided by the Owner or its consultants is inaccurate. The Contractor and each Subcontractor shall evaluate and satisfy themselves as to the conditions and limitations under which the Work is to be performed, including, without limitation: (1) the location, visible surface condition, layout and nature of the Project site and surrounding areas; (2) generally prevailing climatic conditions; (3) anticipated labor supply and costs; (4) availability and cost of materials, tools and equipment; and (5) other similar issues. The Owner assumes no responsibility or liability for the physical conditions or safety of the Project site or any improvements located on the Project site. The Contractor shall be solely responsible for providing a safe place for the performance of the Work. The Owner shall not be required to make any adjustment in either the Contract Sum or Contract Time in connection with any failure by the Contractor or any Subcontractor to comply with the requirements of this section.

1.1.4 The term “Contract” means the Contract Documents, which form the Contract for Construction. This Contract represents the entire and integrated agreement between the parties regarding the subject matter hereof and supersedes all prior negotiations, representations, or agreements, either written or oral. The Contract may be amended or modified only by a written agreement signed by both parties. The Contract Documents shall not be construed to create a contractual relationship of any kind (1) between the Architect and Contractor, (2) between the Owner and a Subcontractor or Sub-subcontractor, (3) between the Owner and Architect or (4) between any persons or entities other than the Owner and Contractor. The Owner shall have such rights as a third-party beneficiary of the agreements between the Contractor and its Subcontractors as are specified in this Owner-Contractor Agreement.

1.1.5 The term “Notice to Proceed” means a letter from the Owner to the Contractor signed by an authorized agent of the Owner instructing the Contractor that the Construction Phase of the Work on the Site may commence.

1.2 The term “Site” means the property where the Project is located, as described in Exhibit M, including all existing structures and improvements thereon.

1.3 The term “Project” is the total construction of which the Work performed under the Contract Documents may be the whole or a part, and which may include construction by Owner or by separate contractors.

1.4 The term "Work" means the construction and services required by the Contract Documents, whether completed or partially completed, and includes all other labor, materials, equipment and services provided or to be provided by the Contractor to fulfill the Contractor's obligations and all other duties and responsibilities of the Contractor under the Contract Documents. The Work may constitute the whole or a part of the Project.

1.5 The term “Owner” means the person or persons or entities identified as such in this Owner-Contractor Agreement and is referred to throughout the Contract Documents as if singular in number and masculine in gender. The term Owner means the Owner or his authorized representative (the “Project Manager” as defined below).

1.6 The term “Contractor” means the person or entity identified as such in the Owner-Contractor Agreement and is referred to throughout the Contract Documents as if singular in number and masculine in gender. The term Contractor means the Contractor or his authorized representative. The Contractor is an independent contractor and not the Owner's agent, employee or authorized representative.

1.7 The term “Architect” means the entity or entities engaging a person or persons lawfully licensed to practice architecture or engineering, which are identified as such by the Owner to provide consulting services relating to the investigation, safety, stabilization or environmental condition of a Project or to design the elements, prepare contract documents and monitor the construction of a complete building structure and system. The Architect is an independent contractor and shall have the duties, responsibilities, and authority as set forth in the Contract Documents. The names and addresses of the Architects are set forth on Exhibit N attached hereto. Owner may add or delete names from Exhibit N upon notice to Contractor.

1.8 The term “Project Manager” means the person or persons or entity identified by the Owner as its authorized representative for the Project. The Owner has retained Aegis Property Group as Project Manager for the Project under a separate contract.

1.9 The term “Cost of the Work” is defined as set forth in Sections 8 and 9 of this Owner-Contractor Agreement.

1.10 The term “Direct Cost” is a component of Cost of the Work, as defined in Exhibit C of this Owner-Contractor Agreement.

1.11 The term “General Conditions” is a component of Cost of the Work, divided into two types, as defined in Exhibit C of this Owner-Contractor Agreement.

1.12 The term “General Requirements” is a component of the Direct Cost and is therefore part of the Cost of the Work, as defined in Exhibit C of this Owner-Contractor Agreement.

1.13 The term “Construction Contingency” is defined in Section 7 of this Owner-Contractor Agreement.

1.14 The term “Total Building Cost” is the sum of the Direct Cost plus the General Requirements plus the General Conditions plus the Construction Contingency.

1.15 The terms “knowledge,” “recognize,” “discover,” and “observe,” their respective derivatives, and similar terms in the Contract Documents, as used in reference to a party, shall be interpreted to include, unless otherwise expressly indicated herein, that which the party should know, recognize, discover or observe in exercising the care, skill, and diligence required by the Contract Documents. Analogously, the expression “reasonably inferable” and similar terms in the Contract Documents shall be interpreted to mean reasonably inferable by a party familiar with the Project and exercising the care, skill, and diligence required by the Contract Documents.

1.16 The term “Contract Time” shall mean the period of time, subject to any extensions of time granted by the Owner as further provided herein, within which the Contractor must substantially complete the Work as more fully set forth in Section 4 of this Agreement.

1.17 The term “Contract Sum” shall have the meaning set forth in Section 5.1 of this Agreement.

2. THE OWNER

2.1 Owner may change portions of the Work, add to the Work, or delete portions of the Work. Such changed, added, or deleted portions of the Work may be performed by other contractors or subcontractors and the Guaranteed Maximum Price shall be adjusted accordingly. If Owner exercises such right, such portion of the Work shall be performed pursuant to a contract between Owner and other parties, and Contractor shall not have any further liability with respect to such portions of the Work performed by such other parties, provided, however, Contractor shall cooperate with such other parties and shall coordinate its Work with theirs.

2.2 Owner’s Right to Stop the Work: If Contractor repeatedly fails to correct Work which is not in accordance with the requirements of the Contract Documents or repeatedly fails to carry out Work in accordance with the Contract Documents following a seven (7) day period which

Contractor shall be given the opportunity to commence a cure. Owner, by written order signed by the Owner's authorized representative or by the Project Manager, may, in addition to exercising any other rights and remedies available to Owner, order Contractor to stop the Work, or any portion thereof, until the cause for such order has been eliminated, provided, however, the right of Owner to stop the Work shall not give rise to a duty on the part of Owner to exercise this right for the benefit of Contractor or any other person or entity. Owner's right to stop the Work shall not relieve Contractor of any of its responsibilities and obligations under or pursuant to the Contract Documents.

2.3 Owner's Right to Carry Out the Work: If Contractor defaults or neglects to carry out the Work in accordance with the Contract Documents and fails within a seven-day period after receipt of written notice from Owner to commence and continue correction of such default or neglect with diligence and promptness, Owner may immediately, without prejudice to other remedies Owner may have, correct such deficiencies. In such case an appropriate Change Order shall be issued deducting from payments then or thereafter due Contractor the cost of correcting such deficiencies, including compensation for Architect's additional services and expenses made necessary by such default, neglect or failure. If payments then or thereafter due Contractor are not sufficient to cover such amounts, Contractor shall pay the difference to Owner. In the case of an emergency correction, where necessary to avoid damage to the Work or to other property, or injury to persons, the Owner may proceed immediately upon giving notice to the Contractor, and the above-referenced 7-day period shall not be applicable.

2.4 Owner's Right to Occupy:

2.4.1 Owner may occupy or use any completed or partially completed element or portion of the Work, provided such occupancy or use is consented to by the insurer as required under Section 13 and authorized by public authorities having jurisdiction over the Work. Such partial occupancy or use may commence whether or not the portion is Substantially Complete, provided that Owner and Contractor have accepted in writing the responsibilities assigned to each of them for payments, retainage if any, security, maintenance, heat, utilities, damage to the Work and insurance, and have agreed in writing concerning the period for correction of the Work and commencement of warranties required by the Contract Documents. Owner's occupancy or use of a portion of the Work that is not Substantially Complete shall not constitute a waiver of Contractor's responsibilities with respect to Substantial Completion under Section 4. Consent of Contractor to partial occupancy or use shall not be unreasonably withheld.

2.4.2 Immediately prior to such partial occupancy or use, Owner, Contractor and Architect shall jointly inspect the area to be occupied or portion of the Work to be used in order to determine and record the condition of the Work. Partial occupancy or use of a portion or portions of the Work shall not constitute acceptance of Work not complying with the requirements of the Contract Documents.

2.5 Owner's Right to Perform Construction and to Award Separate Contracts:

2.5.1 Owner reserves the right to perform construction or operations related to the Project with Owner's own forces, and to award separate contracts in connection with other portions of the Project or other construction or operations on the Site

2.5.2 When separate contracts are awarded for different portions of the Project or other construction or operations on the Site, the term "Contractor" in the Contract Documents in each case means the Contractor who executes each separate Owner-Contractor Agreement.

2.5.3 Owner, at its option, shall either (i) provide for coordination of the activities of Owner's own forces and of each separate contractor with the Work of Contractor, who shall cooperate with them, or (ii) require that Contractor provide for such coordination, which Contractor shall perform when directed by Owner to do so; provided, however, that

Contractor shall be compensated by Owner for such coordination services in a manner which Owner and Contractor shall agree upon in writing. Contractor shall coordinate with other separate contractors and Owner in reviewing construction schedules. Contractor shall make any revisions to the construction schedule deemed necessary after a joint review and mutual agreement. The construction schedules shall then constitute the schedules to be used by Contractor, separate contractors and Owner until subsequently revised.

2.5.3.1 The parties acknowledge and agree that the Owner may enter into separate contracts for other work for the Project and further acknowledge and agree that the provisions of Paragraph 2.5.3 do not apply to the coordination of those contracts. Contractor shall coordinate its Work under this Owner-Contractor Agreement with those contracts as part of the Cost of the Work, subject to the GMP.

2.5.4 If the proper execution of Contractor's Work depends upon construction or operations by Owner or a separate contractor, Contractor shall, prior to proceeding with that portion of the Work, promptly report to the Architect apparent discrepancies or defects in such other construction that would render it unsuitable for such proper execution and results. Failure of Contractor to so report shall constitute an acknowledgment that Owner's or separate contractors completed or partially completed construction is fit and proper to receive Contractor's Work, except as to defects not then reasonably discoverable.

2.5.5 The Contractor, and its Surety (if any) shall, upon demand, reimburse the Owner for liabilities, losses, costs and expenses incurred by the Owner which are payable to a separate contractor because of default by Contractor. In the absence of timely reimbursement, the Owner shall be entitled to withhold such amounts as it may deem appropriate on account of such liabilities, losses, costs and expenses from any payments then or thereafter due to the Contractor.

2.6 Owner's Right to Clean Up: If a dispute arises among Contractor and separate contractors as to the responsibility under their respective contracts for maintaining the premises and surrounding area free from waste materials and rubbish as described in Exhibit A, General Conditions, Owner may clean up and allocate the cost among those responsible as Owner shall reasonably determine.

3. THE WORK, THE CONTRACTOR AND THE SUBCONTRACTORS

3.1 Definition. The Contractor shall perform all the Work required by, and in accordance with, the Contract Documents, for the Project. **The Work shall be divided into the following two distinct phases, namely, the Preconstruction Phase and the Construction Phase:**

3.1.1 The "Preconstruction Phase" of the Work shall include the services set forth in Exhibit B, Section 1, and all other services of the type described in such exhibit customarily provided for similar Projects (the "Preconstruction Services"). The Owner may request substantial changes in the quantity or quality of services described in such exhibit, which changes shall be implemented by appropriate Change Order.

3.1.2 The "Construction Phase" of the Work shall include the services set forth in Exhibit B, Sections 2 and 3, all other services of the type described in such exhibit customarily provided for similar Projects, and the construction of the Project in accordance with the Drawings and Specifications. The Work shall include all construction and services required by the Contract Documents, whether completed or partially completed, and includes all other labor, materials, equipment and services provided or to be provided by Contractor, or by any Subcontractors, Sub-subcontractors, material suppliers or any other person or entity for whom Contractor is responsible under the Contract Documents, to fulfill Contractor's obligations. The Contractor shall, before starting each portion of the

Work, carefully study and compare the various Contract Documents relative to that portion of the Work, as well as the information furnished by the Owner, shall take field measurements of any existing conditions related to that portion of the Work, and shall observe any conditions at the site affecting it. These obligations are for the purpose of facilitating coordination and construction by the Contractor and are not for the purpose of discovering errors, omissions, or inconsistencies in the Contract Documents; provided, however, that the Contractor shall promptly report to the Owner and Architect any errors, inconsistencies or omissions discovered by or made known to the Contractor as further provided in Section 3.4.9. Contractor shall, as part of the Contract Sum, perform all Work required by the Contract Documents. Work omitted from the Contract Documents shall only be performed if Owner establishes that such omitted details are ordinarily and customarily excluded from complete design documents of a project of this nature.

3.1.3 The Contractor shall not be relieved of obligations to perform the Work in accordance with the Contract Documents either by activities or duties of the Architect in the Architect's administration of the Contract, or by tests, inspections or approvals required or performed by persons other than the Contractor.

3.1.4 The Contractor is not allowed to perform any "Tenant" work on the project without written authorization by the Owner. or The Contractor is not allowed to perform any improvement work to the residential units, under the direction of the resident, without written authorization by the Owner.

3.2 Site Investigation: Prior to submitting the Guaranteed Maximum Price, Contractor shall visit the Site, become familiar with local conditions under which the Work is to be performed and correlate personal observations with requirements of the Contract Documents, and as a consequence thereof, Contractor shall rely solely on its own observations, and any written representations made by Owner, regarding the Site or the conditions under which the Work is to be performed. The submission of a Guaranteed Maximum Price proposal shall constitute a representation and warranty by the Contractor to the Owner that it has satisfied itself as to (i) the nature, location and visible character of the Project and the Site, including, without limitation, the visible surface and conditions of the Site and all structures and obstructions thereon and thereunder, both natural and man-made, and all surface water conditions of the Site and surrounding area, (ii) the nature, location and character of the general area in which the Project is located, including, without limitation, its climatic conditions, available labor supply and labor costs and available equipment supply and equipment costs, and (iii) the quality and quantity of all materials, supplies, tools, equipment, labor and professional services necessary to complete the Work in the manner and within the cost and timeframe required by the Contract Documents. Contractor recognizes the extra degree of care required by the site construction circumstances with respect to safety, protection of pedestrians, cleanliness of the Site, health and other laws, and protection of existing utilities, adjacent streets and property. In arriving at the Guaranteed Maximum Price and the Time of Completion, Contractor has, as an experienced and prudent Contractor, exercised its best judgment and expertise to include the impact of such circumstances upon the Guaranteed Maximum Price and the Time of Completion. The Guaranteed Maximum Price shall not be increased on account of any of the conditions described in this Subsection, whether foreseen or unforeseen, unless the conditions differ materially from those represented in the Contract Documents, in which event the Guaranteed Maximum Price and Time of Completion shall be equitably adjusted due to such differing Site conditions, in accordance with the further provisions of the Owner-Contractor Agreement.

3.3 The Owner-Contractor Relationship. The Contractor recognizes and accepts the relationship established between the Contractor and the Owner by this Owner-Contractor Agreement and agrees that he shall at all times advance the Owner's interests in good faith. The Contractor covenants with the Owner to furnish its best skill and judgment and to cooperate with the Architect in furthering the interests of the Owner and the Project. The Contractor agrees to furnish efficient business administration and superintendence and to furnish at all times an adequate supply of workmen and materials, and to perform the Work in the best way and in the most expeditious and economical manner consistent with the Owner's interests.

3.4 Representations and Covenants. The Contractor represents and covenants that:

3.4.1 Prior to commencing the Construction Phase of the Work, the Contractor shall review the Contract Documents and shall be satisfied that the Contract Documents are adequate for the purpose of performing the Work and for preparing the Guaranteed Maximum Price.

3.4.2 Contractor has reviewed all Contract Documents identified in Section 1.1.2. To the extent that Contractor has received and reviewed any other information from the Owner, as referenced in Exhibit W, it does so under and in accordance with the provisions of Section 1.1.3.

3.4.3 The Contractor is experienced in the field of construction and construction estimating, and is qualified, consistent with industry standards, to prepare the Guaranteed Maximum Price based upon the Contract Documents.

3.4.4 The Contractor has made, or at the time it submits the Guaranteed Maximum Price will have made, investigations necessary and appropriate to gain a full understanding of the Work to be performed on the Project.

3.4.5 To the best of the Contractor's knowledge after reasonable investigation, all gas, electricity, water and sewer services, and other utilities necessary or required during the construction of the Project are currently available in such a manner and to such extent that construction of the Project will not be materially delayed or otherwise impeded by the lack thereof. In the event that the Contractor learns that one or more of such utilities may not be available in the manner identified in the preceding sentence, the Contractor shall promptly notify the Owner..

3.4.6 The Contractor will perform and complete each of the tasks assigned to it on a timely basis (time being of the essence herein) in accordance with the description of the services set forth in the Contract Documents; such services will be provided in accordance with the degree of skill and care normally exercised by well-qualified Contractors experienced in projects of similar scope and kind to the Project; the Contractor shall be fully responsible for all services provided hereunder whether such services are provided directly by the Contractor or its employees or agents or by any consultants or Subcontractors hired by the Contractor; and all the materials and equipment furnished and used in connection with the Work shall be new or, if directed by the Owner, restored and in accordance with the Contract Documents. Contractor shall cause all materials to be readily available as and when required or needed in accordance with the Construction Schedule.

3.4.7 Contractor shall install, maintain and remove fences or barricades at the Site in a manner consistent with the phasing of construction as required by the Contract Documents and with all applicable governmental regulations.

3.4.8 The Guaranteed Maximum Price shall include all Work indicated in the Contract Documents except for those items, if any, specifically listed in the accepted Guaranteed Maximum Price Proposal and for the Preconstruction Services.

3.4.9 The Contractor is not required to ascertain that the Contract Documents are in accordance with applicable laws, statutes, ordinances, codes, rules and regulations, or lawful orders of public authorities. In order to facilitate construction and not in the role of a design professional, the Contractor shall carefully study and compare the Contract Documents with each other and with information furnished by the Owner pursuant to the Contract Documents and shall promptly provide written notice to the Owner and Architect of any errors, inconsistencies or omissions discovered or known any variances from applicable laws, regulations, ordinances or orders issued by any governmental authority having jurisdiction over the Project or the parties to this Owner-Contractor Agreement.

The Contractor shall not be responsible for any errors, inconsistencies or omissions discovered or any variances from applicable laws, regulations, ordinances or orders issued by any governmental authority having jurisdiction over the Project or the parties to this Owner-Contractor Agreement unless the Contractor discovered or was aware of such errors, inconsistencies, omissions or variances and failed to notify the Owner of such issues. If the Contractor performs any construction activity knowing it involves an error, inconsistency, code violation or omission in the Contract Documents without written notice to the Architect and Owner, the Contractor shall assume appropriate responsibility for such performance and shall bear an appropriate amount of the costs of correction. The Contractor shall perform no portion of the Work at any time without Contract Documents or, where required, Shop Drawings, Product Data or Samples for such portions of the Work bearing the Architect's appropriate action stamp.

3.4.10 The Contractor shall be solely responsible for and have control over construction means, methods, techniques, sequences and procedures and for coordinating all portions of the Work under the Owner-Contractor Agreement. If the Contract Documents give specific instructions concerning construction means, methods, techniques, sequences or procedures, the Contractor shall evaluate the jobsite safety thereof and, except as stated below, shall be fully and solely responsible for the jobsite safety of such means, methods, techniques, sequences or procedures. If the Contractor determines that such means, methods, techniques, sequences or procedures may not be safe, the Contractor shall give timely written notice to the Owner and Architect and shall not proceed with that portion of the Work without further written instructions, reasonably satisfactory to the Contractor, from the Architect.

3.4.11 In order to facilitate construction and not for the purpose of discovering errors, omissions, or inconsistencies in the Contract Documents, Contractor shall take field measurements and verify field conditions and shall carefully compare such field measurements and conditions and other information known to Contractor with the Contract Documents before commencing activities. Errors, inconsistencies or omissions discovered shall be reported in writing to Owner and Architect at once.

3.4.12 Contractor may make substitutions only with the written consent of the Owner, after evaluation by the Architect and in accordance with a Request for Substitution (Exhibit F).

3.4.13 Each of the Contractor’s employees and Subcontractors engaged to perform services hereunder will be fully qualified to do so and shall perform such services, and shall prepare any work product, materials or deliverables to be provided to Owner hereunder, in a professional manner in accordance with the highest industry standards. Contractor shall enforce strict discipline and good order among Contractor's employees, Subcontractors, and other persons carrying out the Contract. Contractor shall not permit employment of unfit persons or persons not skilled in tasks assigned to them. Contractor shall comply with all federal, state and local laws, rules and regulations regarding employing or contracting persons to perform the Work. All Work required to be done by persons licensed under applicable governmental requirements and codes shall be performed only by such licensed persons.

3.4.14 Contractor shall employ a competent **Project Superintendent, Project Manager and Project Executive** (all as identified on Exhibit P hereto) and necessary assistants who shall be in attendance at the Site at all times during performance of the Work (collectively, the “Construction Supervisors”). The Construction Supervisors shall represent Contractor, and communications given to the Construction Supervisors shall be as binding as if given to Contractor. Important communications shall be confirmed in writing. Other communications shall be similarly confirmed on written request in each case. The Construction Supervisors shall be satisfactory to Owner and Owner shall have the right to require Contractor to dismiss from the Project any Construction Supervisor whose performance is not satisfactory to Owner. Contractor shall not replace any

Construction Supervisor without the consent of Owner, which consent shall not be unreasonably withheld.

3.4.15 Contractor represents and warrants the following to Owner (in addition to the other representations and warranties contained in the Contract Documents), as an inducement to Owner to execute this Owner-Contractor Agreement, which representations and warranties shall survive the execution and delivery of this Owner-Contractor Agreement and the final completion of the Work:

3.4.15.1 That it is financially solvent, able to pay its debts as they mature and possessed of sufficient working capital to complete the Work and perform its obligations under the Contract Documents.

3.4.15.2 That it is able to furnish the plant, tools, materials, supplies, equipment and labor required to complete the Work and perform its obligations hereunder and has sufficient experience and competence to do so.

3.4.15.3 That it is authorized to do business in the state and municipality where the Project is located.

3.4.15.4 That its execution of this Owner-Contractor Agreement and its performance thereof is within its duly authorized powers.

3.4.15.5 That it will cooperate with Owner in order to maximize potential sales and use tax savings, or other exemptions that may be applicable to Owner's status or transactional structure. Such cooperation shall include, if so directed by Owner, the Contractor's installation in the Project of tangible personal property purchased by Owner, another party involved in the Project, or an agent for one of such parties.

3.4.15.6 That it shall not discontinue its business, be dissolved or otherwise suffer or permit any termination of its corporate existence, transfer, sell or assign all or a material portion of its properties or assets, or, unless it first provides at least ninety (90) days prior written notice to Owner, enter into any merger or consolidation with another entity.

3.4.15.7 That the performance of its services will not in any way violate or infringe the rights of third parties, including proprietary information and non-disclosure rights, or any trademark, copyright, patent, or intellectual property rights.

3.4.15.8 The architect shall be responsible for designing the project to comply with all laws, codes, rules and regulations. Contractor shall comply fully with all shown federal, state and local laws, rules, regulations and orders applicable to this Owner-Contractor Agreement or the performance of services hereunder Contractor has and shall maintain all necessary licenses from governmental, public and other authorities necessary or useful to perform the services hereunder. All work required to be done by persons licensed under applicable governmental requirements and codes shall be performed only by such licensed persons.

3.4.15.9 That it will not discriminate or permit discrimination against any person or group of persons on the grounds of race, color, religious creed, age, marital status, national origin, ancestry, sex, mental retardation or physical disability, including, but not limited to, blindness, in any manner prohibited by applicable law.

3.5 Subcontractors.

Unless otherwise stated in the Contract Documents or the bidding requirements, Contractor, as soon as practicable after the execution of this Owner-Contractor Agreement, shall furnish in writing to Owner the names of persons or entities from which bids shall be submitted by the Contractor (including those who are to furnish materials or equipment fabricated to a special design) proposed for each principal portion of the Work ("Subcontractors"). Owner, with the Architect's advice, will promptly reply to Contractor in writing stating whether or not Owner has any objection to any such proposed person or entity. Contractor shall request bids only from Subcontractors and/or suppliers to which Owner has no objection, shall review such bid tabulation sheets with Owner, and shall make its recommendation to Owner as to which bids to accept. The Owner and Contractor will then jointly determine, which bids will be accepted. Should Owner reject qualified bidder recommended by Contractor, the GMP shall be increased by the amount, if any, that the bid selected by Owner exceeds the bid recommended by Contractor; provided, however, that the GMP shall not be adjusted if such proposed Subcontractor is unwilling or unable to comply with the requirements of the Contract Documents which govern the Work of the proposed Subcontractor in question, or such Subcontractor does not qualify with the requirements of this Contract, including without limitation the provisions of Section 3..5.2 below. The prior written approval of Owner shall be required for all subcontracts and purchase orders in excess of $10,000 (Ten Thousand Dollars). The prior written approval of the Owner shall be required for all change orders in excess of $1,000 (One Thousand Dollars) issued with respect any subcontracts and purchase.

3.5.1 All persons or entities proposed by Contractor to be Subcontractors or Sub-subcontractors shall be responsible persons or entities, of suitable experience and ability to perform the Work proposed to be subcontracted to it. Owner shall have the right to reject any proposed Subcontractor which Owner reasonably determines is not reputable, lacks the requisite experience or is otherwise not suitable to perform the portion of the Work to be performed by such person. Failure of Owner or Architect to reply to a request to approve a proposed bidder within ten (10) days shall be deemed notice of no reasonable objection.

3.5.1.1 In lieu of requiring the Subcontractors to provide a performance bond and payment bond Contractor shall enroll the Subcontractors in Subcontractor Default Insurance or Subguard program. The cost of the Subguard program shall not exceed one and two tenths per cent (1.2%) of the amount of such subcontracts enrolled in the program. Contractor shall deliver to the Owner a Financial Interest Endorsement to its Subguard Policy for the benefit of the Owner upon enrollment of the first Subcontractor and shall provide Owner with such information regarding such Subguard insurance coverage as Owner shall request from time to time.

3.5.1.1.1 Subguard premiums shall be invoiced on a monthly basis as subcontract awards are made.

3.5.2 Contractor shall not contract with a proposed person or entity to whom Owner has objected. If Owner has objection to a person or entity proposed by Contractor, Contractor shall propose another to whom Owner has no objection. Contractor shall not be required to contract with anyone to whom Contractor has made reasonable objection.

3.5.3 Not Used

3.5.4 Contractor shall not change a Subcontractor, person or entity previously selected if Owner objects to such change.

3.5.5 Work performed by Contractor's own field forces may include 'General Conditions' items as set forth in Exhibit C, and other elements of the Work; provided, however, that no Work shall be performed by Contractor's own field forces unless and until Contractor gives prior written notification to Owner (including unit prices for materials and labor) and obtains Owner's written consent before performing the Work. Owner reserves the right to

require competitive bids from at least three (3) qualified subcontractors for any Work proposed to be performed by Contractor's own field forces.

3.5.6 Prior to commencement of Work by any Subcontractor, the Contractor and the Subcontractor shall (i) execute a written subcontract agreement, (ii) obtain the insurance required under the Contract Documents, (iii) to the extent required by the Contract Documents, the Subcontractor shall obtain performance and payment bonds in accordance with 3.5.2 (with sureties acceptable to Contractor and Owner and in the form of Exhibits I-1, I-2 and I-3 attached hereto, or in such other form as is acceptable to Contractor and Owner); and (iv) deliver to the Owner an executed Waiver of Liens for the Project in a form that is reasonably satisfactory to the Owner's counsel and is suitable for filing of public record if and to the extent permitted by applicable state law.

3.5.7 The Contractor hereby assigns all subcontracts and purchase orders that it has entered into or in connection with the Project (at the same price and on the same terms) to (a) Owner or (b) such other entity designated by Owner, and their respective successors and assigns; provided, however, that such assignment shall only be effective upon (i) acceptance of such assignment by Owner, such other party, or their respective successors or assigns, as applicable, by notification in writing to the Subcontractor and (ii) the for cause termination of this Contract or the Contractor's right to proceed with the Work under the further provisions of the Contract Documents; and, provided further, that such assignment shall be subject to any prior rights of the Contractor's Surety, if any. Notwithstanding anything else contained in this Owner-Contractor Agreement, until such assignment is accepted, neither Owner nor such other party shall be responsible for performance thereunder, and the Subcontractor shall have no claim or cause of action against any such party. All subcontracts shall include provisions (a) permitting assignment in accordance with the provisions of this paragraph at the option of Owner (b) providing that Owner shall be a third-party beneficiary of the Subcontractor's obligations with respect to the performance of the Work, (c) containing Subcontractor warranty obligations consistent with the warranty obligations contained in Section 15.10 of this Owner-Contractor Agreement, and (d) providing that title to all materials, equipment and supplies shall pass to Owner upon payment therefore by Owner to Contractor. Copies of all executed Subcontracts shall be delivered promptly to Owner.

3.5.8 Prior to the recommendation of the Guaranteed Maximum Price by the Contractor to the Owner, the Owner, Landlord, Contractor and Architect shall approve the identity of all the Subcontractors or proposed Subcontractors who are or will be required to submit stamped drawings by a licensed Registered Architect or Professional Engineer for the state in which the Work is being performed.

3.5.9 Assuming all reasonable efforts are made, Contractor cannot be held responsible for any products required by Owner to be supplied, installed or furnished under this Agreement that are available from, or are required to be procured from, only one source. Furthermore, Contractor cannot be held responsible for schedule, quality performance, etc. of any subcontractor or supplier that is specifically required by the Owner to be utilized under this Agreement.

3.6 Not Used

4. TIME OBLIGATIONS AND SCHEDULES

4.1 Substantial Completion.

4.1.1 "Substantial Completion" is the date, as proposed by the Contractor, certified to by Architect and approved by the Owner, when the Work, or a designated portion thereof satisfies all of the following conditions (except to the extent the same shall be specifically waived or modified in writing by Owner). Contractor is solely responsible for all work necessary to accomplish these conditions.

4.1.1.1 The Work or designated portion thereof has been completed in accordance with the Contract Documents (except for minor punch list Work in accordance with a punch list prepared by the Architect, in consultation with the Owner);

4.1.1.2 All elevators included in the Work or designated portions thereof (except temporary elevators), are fully operational and functioning in accordance with the Contract Documents;

4.1.1.3 All heating, plumbing, ventilating and air conditioning systems included in the Work, or designated portions thereof, are fully operational and functioning in accordance with the Contract Documents;

4.1.1.4 All life safety systems or designated portions thereof, included in the Work are fully operational and functioning in accordance with the Contract Documents;

4.1.1.5 The Work, or designated portion thereof, is suitable for its intended use;

4.1.1.6 The Certificate of Substantial Completion has been issued by the Architect. The date upon which the Work is deemed to be substantially complete is referred to as "Substantial Completion" in the Contract Documents;

4.1.1.7 A final Certificate of Occupancy or a Temporary Certificate of Occupancy (as may be appropriate for a designated portion) for the Project has been issued by the governmental authorities having jurisdiction thereof unless withheld for no fault of contractor; and

4.1.1.8 The Certificate of Substantial Completion shall be submitted to the Owner and Contractor for their written acceptance of responsibilities assigned to them in such Certificate. Upon such acceptance and consent of surety, if any, the Owner shall make payment of retainage less 150% of the cost to complete the remaining work.

4.1.2 The following milestones are established, conditioned upon timely completion of design and local approvals:

4.1.2.1 End of Preconstruction Phase: <u>01-19-2024</u>

4.1.2.2 Execute Construction GMP Change Order: <u>January 5, 2024</u>

4.1.3 At the time of this Agreement, the Preconstruction and design efforts are targeting achievement of a GMP as stated in 4.1.2 and corresponding project schedule consistent with the following milestones. However, the actual project schedule shall not be established until such time as the GMP is established by mutual agreement.

4.1.3.1 Substantial Completion . (To be determined ("TBD") at submission of GMP.) July 11, 2024 based on Owner providing notice to proceed by January 25, 2024 and receipt of all Department of Health and Department of Community Affairs Approvals.

4.1.3.2 :

4.2 Final Completion.

4.2.1 The "Final Completion" of the Work is that date on which, according to a Certification of the Architect, Contractor has completed all the Work, including but not limited to satisfactory operation of all equipment, by means of acceptance tests, correction of all punch list items to the satisfaction of Architect, release of all mechanics', materialmen's,

construction and like liens, delivery of all guarantees, three copies of all equipment operation and maintenance manuals, as-built drawings, final or Temporary Certificates of Occupancy, or other certificates required for occupancy, mechanical, electrical and plumbing certificates, all other required approvals and acceptances by city, county and state governments, or other authorities having jurisdiction, and removal of all rubbish, tools, scaffolding and surplus materials and equipment from the Project Site. Owner will review and accept or reject the Certificate of Final Completion prepared by Contractor and verified by the Architect, which acceptance shall not be unreasonably withheld.

4.2.2 Final Completion for each Project component and for the Project as a whole shall be confirmed in writing by Owner and Contractor.

4.2.3 The Contractor must achieve Final Completion for any Project component not later than ninety days (90) after Substantial Completion for that Project component, or within such earlier time as may be provided in the approved Project construction schedule.

4.3 Schedule. Each Phase shall commence and end as follows:

4.3.1 Preconstruction Phase. The Contractor shall commence the Preconstruction Phase of the Work upon written notification and shall continue until the earliest of completion of all Preconstruction services, acceptance of the Guaranteed Maximum Price by the Owner or notice of termination of the Contract pursuant to Section 14.

4.3.2 Construction Phase. The Contractor shall commence the Construction Phase of the Work upon issuance of a Notice to Proceed and, thereafter shall diligently proceed with the performance thereof to completion and agrees that Substantial Completion shall be achieved by the time established in the Construction Schedule (“Time of Completion”).

4.3.2.1 Exhibit O is the ‘Conceptual Project Schedule” for the Project. The Construction Phase of the Work shall be performed in accordance with a detailed construction schedule (the "Construction Schedule") to be included in the accepted Guaranteed Maximum Price Proposal. The Contractor shall deliver to the Owner this detailed Construction Schedule, which shall include Milestone Dates in accordance with the Conceptual Project Schedule set forth in Exhibit O and which shall be otherwise acceptable to the Owner in all respects. The Construction Schedule shall set forth, among other things, the time for performance of the various elements of the Work, the completion time for critical aspects of the Work, milestone dates for work required by others not under the Contractor’s control (such as the Architect) and the proposed dates of Substantial Completion and Final Completion. Upon approval of the Construction Schedule by Owner, it shall become part of the Contract Documents and the proposed dates of Substantial Completion and Final Completion shall be the dates of Substantial Completion and Final Completion of the Work. The Contractor shall submit the proposed Construction Schedule to the Owner as soon as possible, but in no event later than the date that the Contractor submits the Guaranteed Maximum Price pursuant to Section 5. The Construction Schedule, when approved by the Owner, shall be included in the accepted Guaranteed Maximum Price Proposal. Once the Construction Schedule has been submitted to and approved by the Owner, the Construction Schedule shall be updated by the Contractor as required by Contractor’s Scope of Work as defined in Exhibit B. Each such update shall be submitted to and subject to the approval of the Owner. If the Contractor's proposed Construction Schedule is not acceptable to the Owner in all respects, in the Owner's sole discretion, the Owner may terminate this Owner-Contractor Agreement or the Contractor's right to proceed with the Work, in accordance with Section 14.

4.3.3 The Contractor shall maintain the Construction Schedule (as the same may be amended by Change Order from time to time as expressly permitted herein) and meet all critical

path dates. Should Contractor fail to meet any of the critical path dates, Contractor shall, upon written notice from Owner, cause its employees, Subcontractors, and all other parties covered by this Contract to perform and work at hours on days, in addition to the normal working hours and normal working days, whatever overtime work or shift work is necessary to return to the original Construction Schedule. Contractor may use the Construction Contingency to fund costs for any additional compensation paid to its employees or its Subcontractors' employees or for any cost resulting from such overtime work or shift work, unless otherwise provided herein, but no adjustment shall be made to the Guaranteed Maximum Price.

4.3.4 The Contractor shall regularly update and maintain the Construction Schedule; provided, however, that no update of the Construction Schedule shall serve to extend the Time of Completion, or extend or modify the milestone dates set forth in 4.1.2 and 4.1.3, unless authorized by the Owner in a written Change Order.

4.3.5 The Project Schedule. The Owner's Conceptual Project Schedule is provided in Exhibit O. Once approved by the Owner, the Construction Schedule included in the accepted Guaranteed Maximum Price Proposal shall take precedence.

4.4 Time of the Essence. Time is of the essence in the performance of the Contract.

4.5 <u>Delays: Force Majeure</u>.

4.5.1 If Contractor is delayed in the performance of Work on the critical path by reason of any of the following causes (or any combination of the following causes): (i) fire or other casualty not caused by the Contractor or any of its Subcontractors (ii) unusual and extreme weather, (iii) war or national conflicts or priorities arising therefrom (a "Force Majeure Event"), (iv) or other causes beyond Contractor's control and ability to mitigate, then the Time of Completion and/or the milestone dates shall be extended for a period equal to the length of such critical path delay, or as otherwise negotiated between the Owner and Contractor, and reimbursement for proven actually needed Contractor's costs if, within ten (10) days after such delay, Contractor requests an extension of time, in writing, for such delay. In the case of a continuing cause of delay, Contractor shall be required to make only one such request with respect thereto. It shall be the Contractor's responsibility to demonstrate to Owner, by an appropriate time impact study or other schedule analysis, that the Force Majeure Event for which an extension of the Time of Completion and/or any milestone date is requested resulted in a delay to the critical path of the Construction Schedule and an extension of time shall be granted under this section only if there has been, and only to the extent of, such critical path delay. In addition:

4.5.1.1 In case the Contractor is delayed at any time or for any period by two or more causes that would entitle the Contractor to an extension of time, the Contractor shall not be entitled to a separate extension for each one of the causes but only one period of extension will be granted for the delay to the extent that the critical path is affected.

4.5.1.2 If the Contractor is delayed in the performance of the Work by a cause that would entitle the Contractor to an extension of time, an extension of time shall be granted only for such portion(s) of the Work actually delayed, and the Contractor shall nevertheless proceed continuously and diligently with the prosecution of the remainder of the Work.

4.5.1.3 Anything to the contrary herein notwithstanding, Contractor and Owner shall exert all reasonable efforts to minimize the circumstances that necessitate extensions of time resulting from Force Majeure Events.

4.5.1.4 As an alternative to granting an extension of the Contract Time under this Section on account of a Force Majeure event, the Owner shall have the right, upon written notice to the Contractor, to direct the Contractor to cause its employees, Subcontractors, and all other parties covered by this Owner-Contractor Agreement to perform and work at hours and on days, in addition to the normal working hours and normal working days, whatever overtime work or shift work is necessary to return to the original Construction Schedule, to the extent practicable and requested by Owner. In the case of such written direction, the Contractor's reasonable and necessary costs and expenses incurred in such additional Work shall be included in the Cost of the Work and the GMP shall be increased accordingly.

4.5.1.5 If a Force Majeure Event justifies an extension of the Time of Completion and/or the affected milestone dates, then the parties shall execute a Change Order equitably adjusting the Contract Time and Contract Sum on account thereof. Notwithstanding anything to the contrary in the Contract Documents, an extension in the Contract Time and reimbursement of actually incurred costs, to the extent permitted under the Contract Documents, shall be the sole and exclusive remedy of the Contractor for a Force Majeure Event.

4.6 Delays: Costs and Mitigation of Contractor Delays.

4.6.1 Costs and Mitigation of Contractor Delays. Should Contractor fail to comply with the Construction Schedule or meet any of the Project milestone dates, as they may be extended pursuant to Paragraph 4.5.1 above, then, upon written notice from Owner, Contractor shall, prepare a mutually agreeable schedule recovery plan which may include the following, Contractor at its sole cost and expense, causing its employees, Subcontractors, and all other parties covered by the Contract to perform and work at hours and on days, in addition to the normal working hours and normal working days, whatever overtime work or shift work is necessary to return to the original Construction Schedule, to the extent practicable. Contractor's reasonable and necessary costs and expenses incurred in such additional Work may be included in the Cost of the Work and charged to the Contingency, if any, but they shall not cause any increase in the GMP.

4.6.2 Contractor recognizes that it is imperative that the Work proceed in an uninterrupted fashion and shall endeavor to prevent and shall promptly take all reasonable action to cure any work stoppage caused by any labor or jurisdictional disputes arising out of the assignment of Work to be performed by Contractor or its Subcontractors.

4.6.3 To the extent that any delay caused by Owner, its agents or separate contractors is concurrent with any delay caused by the Contractor, the Contractor shall be entitled to an extension of time. Upon written notice from Owner, Contractor shall, prepare a mutually agreeable schedule recovery plan which may include the following, Contractor causing its employees, Subcontractors, and all other parties covered by the Contract to perform and work at hours and on days, in addition to the normal working hours and normal working days, whatever overtime work or shift work is necessary to return to the original Construction Schedule, to the extent practicable. To the extent that additional costs are incurred as a result of the concurrent delay described in this section, Owner shall bear one-half of the costs associated with concurrent delay and the contract sum shall be adjusted accordingly. Contractor's reasonable and necessary costs and expenses incurred in such additional Work may be included in the Cost of the Work and charged to the Contingency.

4.7 Delays: Owner Delays.

Notwithstanding anything to the contrary in the Contract Documents, an extension in the Contract Time and reimbursement for proven increases in the Contractor's costs providing the delay impacted the critical path of the construction schedule and to the extent permitted under the Contract

Documents, shall be the sole and exclusive remedies of the Contractor for any: (1) delay in the commencement, prosecution or completion of the Work; (2) hindrance or obstruction in the performance of the Work; (3) loss of productivity; or (4) other similar claims (collectively referred to in this paragraph as Delays) whether or not such Delays are foreseeable and whether or not such Delays are the fault or responsibility of the Owner or any other person for whose acts the Owner is responsible, unless a delay is caused solely by the acts of the Owner constituting "active interference" with the Contractor's performance of the work, and only to the extent that such acts continue after the Contractor furnishes the Owner with written notice of such interference. In no event shall the Contractor be entitled to any other compensation or recovery of any other damages from the Owner in connection with any Delay, including, without limitation, consequential damages, lost opportunity costs, loss of bonding capacity, impact damages or other similar remuneration. The term "active interference" as used in this paragraph shall mean only Owner's affirmative or positive interference with the Contractor's Work or the failure on the part of the Owner to act in some essential matter necessary to the prosecution of the Work.

4.7.1 Should Contractor, in any litigation or arbitration with the Owner, challenge the legality of this section 4.7 in whole or in part, or seek compensation or recovery of damages for any delay which are otherwise not recoverable under this paragraph, Contractor shall in such proceeding be liable to the Owner for all of Owner's legal fees and costs of defending its rights under this paragraph.

4.8 Temporary and Final Certificates of Occupancy: The Contractor shall use all reasonable efforts to help Owner obtain the Temporary and Final Certificate of Occupancy for the Project.

4.9 Liquidated Damages for Delay:

4.9.1 Contractor acknowledges that Owner will incur damages, including increased financing costs and loss of revenue caused by delayed occupancy, if Contractor does not timely achieve Substantial Completion of the Project. Contractor further acknowledges that the precise amount of such damages may be incapable of computation. Therefore, Contractor (and its Surety, if any) agrees to pay to Owner as liquidated damages, and not as a penalty, the sum of **Two thousand Dollars ($2,000.00)** per day, or fraction thereof, for each day that completion is delayed beyond a cure period of 14 business days from the date of Substantial Completion established in accordance with Article 4.1.1. The liquidated damages will be capped at 50% of the Contractor's fee. Owner shall be entitled to withhold, from any sums otherwise then or thereafter due and payable hereunder, payment of such sums sufficient to offset Contractor's liability for liquidated damages, equal to the amount of any actual delay to the Substantial Completion of the Project. The provisions of this paragraph shall survive the termination of this Agreement or of Contractor's services hereunder.

4.10 Waiver of Consequential Damages

4.10.1 Except as hereinafter provided, the Contractor and the Owner waive claims against each other for consequential damages arising out of or relating to this Agreement. This waiver includes damages incurred by the Contractor for principal office expenses including the compensation of personnel stationed there, for losses of financing, business and reputation, and for loss of profit except anticipated profit arising directly from the Work. This waiver shall in no way apply to or impair the Owner's right to Liquidated Damages as provided in Section 4.9, nor shall it preclude the Owner from recovering consequential damages with respect to bodily injury or property damage covered by the Contractor's insurance or that would have been so covered if the Contractor had obtained the insurance required by this Agreement or with respect to bodily injury or property damage claims of 3rd parties for which Contractor provides indemnification pursuant to this Agreement.

5. PRECONSTRUCTION PRICE AND GUARANTEED MAXIMUM PRICE

5.1 The Contract Sum: The Contract Sum, including authorized adjustments, is the total amount payable by Owner to Contractor for performance of the Work under the Contract Documents. The Contract Sum consists of (i) the "Cost of the Work" (as defined in Section 8), and (ii) Contractor's Fee (as defined in Section 6). The Contract Sum shall be allocated and costs shall be calculated in accordance with Exhibit C, GMP Cost Allocation and Calculation. The Contract Sum shall not exceed the Guaranteed Maximum Price, once established, subject to additions and deductions only by Change Order in accordance with Section 10. Costs which would cause the Guaranteed Maximum Price to be exceeded shall be paid by Contractor without reimbursement by Owner.

5.1.1 The Owner may withhold its consent to the Guaranteed Maximum Price recommended by the Contractor, if it is not acceptable to the Owner for any reason whatsoever, in the Owner's sole discretion, and, in that event, the Owner may terminate this Owner-Contractor Agreement or the Contractor's right to proceed with the Work, in accordance with Section 14 of this Contract.

5.2 Preconstruction Price and Guaranteed Maximum Price: In full consideration for the full and complete performance of the Work as described in Exhibit B and all obligations of Contractor hereunder, Owner shall pay to Contractor of the following sums:

5.2.1 For Preconstruction Services:

5.2.1.1 The fixed sum of **Not To Exceed Thirty-Five Thousand, Three Hundred Fifty Two Dollars ($35,352.00 NTE)**, to be paid to Contractor as set forth in Exhibit Q.

5.2.1.2 Select one of the following:

[_X__] Contractor shall bill and be paid on a monthly basis for each phase of services as defined in the accepted Guaranteed Maximum Price Proposal.

5.2.2 For Construction Services, a sum not to exceed the Guaranteed Maximum Price ("GMP"), which includes the Contractor's Fee, General Conditions, Staffing Plan, Insurance and Surety Bond and Subguard Insurance policy costs as set forth in the Contractor's Construction Cost Proposal, Exhibit R which is to be incorporated into the Agreement with a GMP Change Order.

5.2.3 .

5.3 Determination of Guaranteed Maximum Price. At the times specified in Exhibit B, the Contractor shall submit proposals for the Guaranteed Maximum Price for the entire Project, which shall consist of the estimated Cost of Work and Contractor's Fee. When the Guaranteed Maximum Price is accepted by the Owner, it shall be set forth in an Amendment to this Owner-Contractor Agreement, and the Contractor's obligation to submit further proposals shall cease. The Guaranteed Maximum Price shall thereafter be subject to adjustment as provided herein.

5.4 Component Guaranteed Maximum Price Procedure. The Construction Manager will, if requested by the Owner, prepare, execute and submit the Guaranteed Maximum Price ("GMP") proposal in such components, or early release packages, as may be reasonably requested by the Owner in accordance with the further provisions of this paragraph. When the Drawings and Specifications for such particular components or early release packages are complete and ready for construction, the Construction Manager will prepare, execute and submit for the Owner's acceptance a proposed Component GMP Amendment, which shall be prepared and calculated in accordance with the other provisions of this Agreement applicable to the preparation and submission of the GMP proposal. If accepted, the Component GMP Amendment, and the Work contemplated thereby, will be administered in accordance with the other provisions of this Agreement applicable to the performance of the Work. If more than one Component GMP Proposal is requested, and accepted, by the Owner, the accepted Component GMP

EXHIBIT A
General Conditions of the Contract

1. THE WORK, THE CONTRACTOR AND THE SUBCONTRACTORS

a. Documents and Samples at the Site:

i. Contractor shall maintain at the Site for Owner one record copy of the Drawings, Specifications, addenda, Change Orders and other Modifications, in good order and marked currently to record changes and selections made during construction, and in addition approved Shop Drawings, Product Data, Samples and similar required submittals. The marked up drawings showing as-built conditions shall be provided to the Architect for incorporation into the design documents as the final record set of design drawings. All of the above information shall be delivered to Owner in good condition upon completion of the Work and before final payment is made, and shall be signed by Contractor, certifying that they show complete and exact as-built conditions, stating sizes, kind of materials, vital piping, conduit locations and similar matters.

ii. Contractor shall maintain all approved permit drawings in a manner so as to make them accessible to governmental inspectors and other authorized agencies. All approved drawings shall be wrapped, marked and delivered to Owner within sixty (60) days of final completion of the Work.

b. Shop Drawings, Product Data and Samples:

i. Shop Drawings are drawings, diagrams, schedules and other data specially prepared for the Work by Contractor or a Subcontractor, Sub-subcontractor, manufacturer, supplier or distributor to illustrate some portion of the Work.

ii. Product Data are illustrations, standard schedules, performance charts, instructions, brochures, diagrams and other information furnished by Contractor to illustrate materials or equipment for some portion of the Work.

iii. Samples are physical examples, which illustrate materials, equipment or workmanship and establish standards by which the Work will be judged.

iv. Shop Drawings, Product Data, Samples and similar submittals are not Contract Documents. The purpose of their submittal is to demonstrate for those portions of the Work for which submittals are required the way Contractor proposes to conform to the information given and the design concepts expressed in the Contract Documents.

v. Contractor shall review, approve and submit to Architect Shop Drawings, Product Data, Samples and similar submittals required by the Contract Documents with reasonable promptness and in such sequence as to cause no delay in the Work or in the activities of Owner or of separate contractors. Contractor shall direct the Subcontractors to complete their Shop Drawings and verify that such drawings are in accordance with the Drawings and Specifications.

vi. Contractor shall perform no portion of the Work requiring submittal and review of Shop Drawings, Product Data. Samples or similar submittals, until the respective submittal has been approved by the Architect. Such Work shall be in accordance with approved submittals. Work performed contrary to this procedure shall be at the risk and expense of Contractor. All Shop Drawings used for fabrication and erection shall be those reviewed

and approved by Architect. If change is found to be necessary on any previously released Shop Drawing, Product Data or Sample, it shall be resubmitted for review.

vii. By approving and submitting Shop Drawings, Product Data, Samples and similar submittals, Contractor represents that Contractor has determined and verified materials, field measurements and field construction criteria related thereto, or will do so, and has checked and coordinated the information contained within such submittals with the requirements of the Work and of the Contract Documents.

viii. Contractor shall not be relieved of responsibility for deviations from requirements of the Contract Documents by Architect's approval of Shop Drawings, Product Data, Samples or similar submittals unless Contractor has specifically informed Architect and Owner in writing of such deviation at the time of submittal and Architect and Owner have given written approval to the specific deviation. Contractor shall not be relieved of responsibility for errors or omissions in Shop Drawings, Product Data, Samples or similar submittals by Architect's approval thereof.

ix. Contractor shall direct specific attention, in writing or on resubmitted Shop Drawings, Product Data, Samples or similar submittals, to revisions other than those requested by Architect on previous submittals.

x. Informational submittals upon which Architect are not expected to take responsive action may be so identified in the Contract Documents.

xi. When professional certification of performance criteria of materials, systems or equipment is required by the Contract Documents, Architect and Owner shall be entitled to rely upon the accuracy and completeness of such calculations and certifications.

xii. Shop Drawings for architectural, structural, mechanical and electrical Work shall be submitted for approval to Architect. Site drawings need to be submitted to the Civil Engineer with a copy to the Architect for coordination.

xiii. The Contractor shall develop a submittal log listing each submittal, the date the submittal will be made, the desired duration of the submittal review process and revise and resubmit dates for more complicated submittals.

xiv. Contractor shall assemble for Architect's approval three complete copies in loose leaf binders of all operating and maintenance data from all manufacturers whose equipment is or will be installed in the Work.

xv. Contractor shall submit to Owner a digital copy of all submissions made to Architect and Civil Engineer pursuant to this Paragraph.

c. Use of Site:

i. Contractor shall confine operations at the Site to areas permitted by law, ordinances, permits and the Contract Documents. Contractor shall not unreasonably encumber the Site with materials or equipment.

ii. Contractor shall assure free, convenient, unencumbered and direct access to properties neighboring the Site for owners of such properties and their respective tenants, agents, invitees and guests.

d. Cutting and Patching:

Englewood Cliff Sportcenter, LLC

i. Contractor shall be responsible for all cutting, fitting or patching required to complete the Work or to make its parts fit together properly.

ii. Contractor shall not damage or endanger a portion of the Work or fully or partially completed construction of Owner or separate contractors by cutting, patching or otherwise altering such construction, or by excavation. Contractor shall not cut or otherwise alter such construction by Owner or a separate contractor except with prior written consent of Owner and of such separate contractor. Contractor shall not unreasonably withhold from Owner or a separate contractor Contractor's consent to cutting or otherwise altering the Work.

e. Cleaning Up:

i. Contractor shall keep the premises and surrounding area free from accumulation of waste materials or rubbish. At completion of the Work Contractor shall remove from and about the Project waste materials, rubbish, Contractor's tools, construction equipment, machinery and surplus materials. Contractor shall thoroughly wash and clean all glass and mirror structures, and shall leave the Work neat and broom clean. Contractor shall maintain streets and sidewalks around the Site in a clean condition. Contractor shall establish a regular maintenance program of sweeping and hosing to minimize accumulation of dust and dirt upon such areas. Contractor shall be responsible for the overall cleanliness and neatness of the Work.

ii. If Contractor fails to clean up as provided in the Contract Documents, Owner may do so and the cost thereof shall be charged to Contractor, who shall pay such costs immediately upon demand of Owner.

iii. In addition to general broom cleaning, Contractor shall perform, at a minimum and in accordance with the specifications, the following final cleaning for all trades at the completion of the Work:

1. Remove temporary protections.

2. Remove marks, stains, fingerprints and other soil or dirt from painted, decorated and natural finish woodwork and other Work.

3. Remove spots, plaster, soil and paint from ceramic tile, marble, carpet and other finished materials, and wash or wipe clean.

4. Clean fixtures, cabinet work and equipment, removing stains, paints, dirt and dust, and leave same in undamaged new condition.

5. Clean aluminum, if any, in accordance with recommendations of the manufacturer.

6. Clean resilient floors thoroughly with a well-rinsed mop containing only enough moisture to clean off surface dirt or dust and buff dry by machine to bring the surfaces to sheen.

7. Clean interior and exterior surfaces of exterior glass.

f. Access to Work:

i. Contractor shall provide Owner and Architect access to the Work in preparation and progress wherever located.

g. Royalties and Patents:

i. Contractor shall pay all royalties and license fees. Contractor shall defend suits or claims for infringement of patent rights and shall hold Owner harmless from loss on account thereof, but shall not be responsible for such defense or loss when a particular design, process or product of a particular manufacturer or manufacturers is required by the Contract Documents. However, if Contractor has reason to believe that the required design process or product is an infringement of a patent, Contractor shall be responsible for such loss unless such information is promptly furnished to Architect and Owner.

h. Safety of Persons and Property:

i. Contractor shall take all necessary precautions for safety of, and shall provide all necessary protection to prevent damage, injury or loss to:

1. Employees on the Work and other persons who may be affected thereby.

2. The Work and materials and equipment to be incorporated therein, whether in storage on or off the Site, under care, custody or control of Contractor or Contractor's Subcontractors or Sub-subcontractors.

3. Other property at the Site or adjacent thereto, such as trees, shrubs, lawns, walks, pavements, roadways, structures and utilities not designated for removal, relocation or replacement in the course of construction.

ii. Contractor shall give notices and comply with applicable laws, ordinances, rules, regulations and lawful orders of public authorities bearing on safety of persons or property or their protection from damage, injury or loss.

iii. Contractor shall erect and maintain, as required by existing conditions and performance of this Agreement, reasonable safeguards for safety and protection, including posting danger signs and other warnings against hazards, promulgating safety regulations and notifying owners and users of adjacent sites and utilities.

iv. When use or storage of explosives or other hazardous materials or equipment or unusual methods are necessary for execution of the Work, Contractor shall exercise utmost care and carry on such activities under supervision of properly qualified personnel.

v. Contractor shall promptly remedy damage and loss (excluding damage or loss insured under property insurance required by the Contract Documents) to property referred to in Paragraph 1.h.i of this Exhibit caused in whole or in part by Contractor, a Subcontractor, a Subsubcontractor, or anyone directly or indirectly employed by any of them, or by anyone for whose acts they may be liable and for which Contractor is responsible under Paragraph 1.h.i of this Exhibit or violation of the Contract Documents by Contractor, except damage or loss attributable to acts or omissions of Owner or Architect or anyone directly or indirectly employed by either of them, or by anyone for those acts either of them may be liable, and not attributable to the fault or negligence of Contractor or breach of any of the terms of the Contract Documents by Contractor.

vi. Contractor shall designate a responsible member of Contractor's organization at the Site whose duty shall be the prevention of accidents. This person shall be Contractor's superintendent unless otherwise designated by Contractor in writing to Owner and Architect.

vii. Contractor shall not load or permit any part of the construction or Site to be loaded so as to endanger the safety of persons or property.

viii. Contractor shall protect adjoining private or municipal property and shall provide barricades, temporary fences, and covered walkways required to protect the safety of passers-by, as required by prudent construction practices, local building codes, ordinances or other laws, or the Contract Documents.

ix. Contractor shall maintain the Work, materials and apparatus free from injury or damage from rain, wind, storms, frost or heat. If adverse weather makes it impossible to continue operations safely in spite of weather precautions, Contractor shall cease the Work and notify Owner and Architect of such cessation. Contractor shall not permit open fires on the Site.

x. In addition to its other obligations pursuant to the Agreement, Contractor shall, at its sole cost and expense, promptly repair any damage or disturbance to walls, utilities, sidewalks, curbs, and the property of third parties (including municipalities) resulting from the performance of the Work, whether by it or by its Subcontractors at any tier. Contractor shall maintain streets in good repair and traversable condition.

i. Emergencies:

i. In an emergency affecting safety of persons or property, Contractor shall act, at Contractor's discretion, to prevent threatened damage, injury or loss.

j. Uncovering of Work:

i. If a portion of the Work is covered contrary to Architect's or Owner's request or to requirements specifically expressed in the Contract Documents, it must, if required in writing by Architect, Owner or any governmental authority, be uncovered for their observation and be replaced at Contractor's expense without change in the Contract Time.

ii. If a portion of the Work has been covered which Architect, Owner or any governmental authority has not specifically requested to observe prior to its being covered, Architect or Owner may request to see such Work and it shall be uncovered by Contractor. If such Work is in accordance with the Contract Documents, costs of uncovering and replacement shall, by appropriate Change Order, be charged to Owner and included in the Cost of the Work. If such Work is not in accordance with the Contract Documents, Contractor shall pay such costs unless the condition was caused by Owner or a separate contractor in which event Owner shall be responsible for payment of such costs.

k. Correction of Work:

i. Contractor shall promptly correct Work rejected by Architect or Owner, or failing to conform to the requirements of the Contract Documents, whether observed before or after Substantial Completion and whether or not fabricated, installed or completed. Contractor shall bear costs of correcting such rejected Work, including additional testing and inspections and compensation for Architect's services and expenses made necessary thereby.

ii. If, within one (1) year after the date of substantial completion of the Work or designated portion thereof, or after the date for commencement of warranties or by terms of an applicable special warranty required by the Contract Documents, any of the Work is

Englewood Cliff Sunger

found to be not in accordance with the requirements of the Contract Documents, Contractor shall correct it promptly, at Contractor's sole cost and expense, after receipt of written notice from Owner to do so. This obligation under this Subsection shall survive acceptance of the Work under, and the termination of, this Agreement. Owner shall give such notice promptly after discovery of the condition. This condition cannot be waived at final completion. Any portion of the Work so corrected shall be similarly warranted against further defects or failure to conform to the Contract Documents for a period of one (1) year from the date of correction. Contractor shall use its best efforts to obtain similar extended guarantees for equipment not covered by maintenance or service contracts.

iii. Contractor shall remove from the Site portions of the Work, which are not in accordance with the requirements of the Contract Documents and are neither corrected by Contractor nor accepted by Owner.

iv. If Contractor fails to correct non-conforming work within a reasonable time, Owner may correct it in accordance with this Agreement. If Contractor does not correct such non-conforming Work within a reasonable time fixed by a written notice, Owner may remove it and store the salvable materials or equipment at Contractor's expense. If Contractor does not pay costs of such removal and storage with ten (10) days after written notice, Owner may upon ten (10) additional days' written notice sell such materials and equipment at auction or at private sale and shall account for the proceeds thereof, after deducting costs and damages that should have been borne by Contractor, including compensation for Architect's services and expenses made necessary thereby and attorneys' fees and expenses. If such proceeds of sale do not cover costs, which Contractor should have borne, the Contract Sum shall be reduced by the deficiency. If payments then or thereafter due Contractor are not sufficient to cover such amount, Contractor shall pay the difference to Owner.

v. Contractor shall bear the cost of correcting destroyed or damaged construction, whether completed or partially completed, of Owner or separate contractors caused by Contractor's correction or removal of Work which is not in accordance with the requirements of the Contract Documents.

vi. Nothing contained in the Subsection 1.k of this Exhibit shall be construed to establish a period of limitation with respect to other obligations, which Contractor might have under the Contract Documents.

l. Acceptance of Non-conforming Work:

i. If Owner prefers to accept Work, which is not in accordance with the requirements of the Contract Documents, Owner may do so instead of requiring its removal and correction, in which case the Contract Sum will be reduced as appropriate and equitable. Such adjustment shall be effected whether or not final payment has been made.

m. Subcontractual Relations: The Contractor shall require each Subcontractor, to the extent of the Work to be performed by the Subcontractor, to be bound to the Contractor by the terms of the Contract Documents, and to assume toward the Contractor all the obligations and responsibilities which the Contractor, by these Documents, assumes toward the Owner, Owner's Representative and the Architect. Said agreement shall preserve and protect the rights of the Owner, Owner's Representative and the Architect under the Contract Documents with respect to the Work to be performed by the Subcontractor so that the subcontracting thereof will not prejudice such rights, and shall allow to the Subcontractor, unless specifically provided otherwise in the Contractor-Subcontractor agreement, the benefit of all rights, remedies and redress against the Contractor that the Contractor, by these Documents, has against the Owner. Where appropriate, the Contractor shall require each Subcontractor to enter into similar agreements with his Sub-

subcontractors. The Contractor shall make available to each proposed Subcontractor, prior to the execution of the Subcontract, copies of the Contract Documents to which the Subcontractor will be bound by this -paragraph, and identify to the Subcontractor any terms and conditions of the proposed Subcontract which may be at variance with the Contract Documents. Each Subcontractor shall similarly make copies of such Documents available to his Sub-subcontractors.

n. Change Orders:

i. For additional work to be performed by the Contractor's Subcontractors, a lump sum itemized to show the net amount of each Subcontractor's direct costs for labor, materials, equipment rental, and transportation **plus a maximum of fifteen percent (15%)**, or as otherwise approved, as Subcontractor Fee to cover all other charges, for or in connection with such work, of the Subcontractors, subject to audit, including but not limited to supervision (field and home office), small tools and related items, general expenses, overhead and profit and bond and other related items. Direct cost for labor shall be the total cost to the Subcontractors, and the cost for material shall include taxes, if any.

ii. For additional work to be performed by the Contractor's own forces, a lump sum proposal itemized to show the net amount of the Contractor's direct costs for labor, materials, equipment rental and transportation. No additional fee is allowed for the Contractor beyond the fee percentage established in the Agreement.

iii. For deleted work to be performed by the Contractor's Subcontractors, the Owner shall receive a lump sum credit equal to the net credit to the Contractor as itemized by his Subcontractors for labor, materials, equipment, transportation and taxes, plus the percentage fee thereof as defined in the agreement covering such items as normal charges for layout, supervision (field and home office), general expenses, overhead and profit of the Contractor and his Subcontractors and overhead and profit of its Subcontractors.

iv. For deleted work to be performed by the Contractor's own forces, the Owner shall receive a lump-sum credit equal to the net estimated savings to the Contractor based upon Contractor's original estimate on account of the deleted work for labor, material, equipment, transportation and taxes.

v. When a schedule of unit prices for additions or deletions to the Work is made a part of the Construction Agreement or Subcontractor's Contract with the Contractor, and if the Owner issues a Change Order Request for any addition or deletion as to which unit prices are applicable, the Contract Sum shall be adjusted by the amount of the unit prices to the extent they are applicable in lieu of the negotiated lump sum herein above mentioned, and the percentage fee markup shall not be applied thereto.

vi. If the proposal for a Change Order Request as submitted by the Contractor is acceptable to the Owner, a Change Order will be issued through the Owner's Representative for the amount to be added to or deducted from the Contract Sum.

vii. The Owner may change portions of the Work, add to the Work or delete portions of the Work, which will then be performed by other contractors or subcontractors. The Contract Amount shall be adjusted accordingly for such changed, added, or deleted work. If the Owner exercises such right, those portions of the Work shall be performed pursuant to a contract between the Owner and the appropriate parties, or by the Owner's Tenant and other parties, and the Contractor shall not have any further liability with respect to such portions of the work performed by such other parties, provided, however, in each instance the Contractor shall permit at no additional cost to Owner or such other parties to use the Contractor's temporary or permanent facilities, hoisting equipment and all

other facilities of the Contractor to the same extent as if such other parties were performing under a subcontract to Contractor, provided that Contractor may charge Owner's or tenant's contractor or subcontractors any labor cost actually incurred by Contractor by virtue of their respective use of such hoisting equipment which costs are not reimbursed to Contractor as part of the General Conditions or otherwise hereunder. Prior to use of hoisting equipment by Owner's or tenant's contractors or subcontractors Owner shall cause to be furnished to Contractor satisfactory evidence of insurance as well as indemnity in favor of Contractor. The Contractor shall cooperate with such other parties to ensure that the Tenants will occupy the Lease Areas at the lowest possible cost to the Tenant and Owner. The Owner agrees that such portions of the Work shall be performed in accordance with the Schedule.

viii. Contractor shall obtain during subcontractor bidding process "time and material" hourly rate and material markups, per Exhibit S. The breakdown of the hourly rates should include but is not limited to: base compensation, benefits, payroll taxes, workman's compensation insurance, general liability insurance, and overhead and profit.

2. MISCELLANEOUS PROVISIONS:

a. Test and Inspections:

i. Tests, inspections and approvals of portions of the Work required by the Contract Documents or by laws, ordinances, rules, regulations or orders of public authorities having jurisdiction shall be made at an appropriate time. Unless otherwise provided, Owner shall make arrangements for such tests, inspections and approvals with an independent testing Laboratory or entity acceptable to Owner, or with the appropriate public authority, and shall bear all related costs of tests, inspections and approvals. Contractor shall give Architect, Inspection Agency and Owner timely notice of when and where test and inspections are to be made so Architect, Inspection Agency and Owner may observe such procedures.

ii. If Architect, Owner or public authorities having jurisdiction determine that portions of the Work require additional testing, inspection or approval not included under Paragraph 2.a of this Exhibit, Owner may make arrangements for such additional testing, inspection or approval by an entity acceptable to Owner. Owner shall bear such costs. When Work has been installed contrary to any requirement of the Contract Documents and Contractor requests the privilege of testing in lieu of removal, such testing shall be at Contractor's expense.

iii. If such procedures for testing, inspection or approval under Paragraph 2.a of this Exhibit reveal failure of the portions of the Work to comply with requirements established by the Contract Documents, Contractor shall bear all costs made necessary by such failure including those of repeated procedures and compensation for Architect's services and expenses.

iv. Required certificates of testing, inspection or approval shall, unless otherwise required by the Contract Documents, be secured by Contractor and promptly delivered to Architect.

v. If Architect is to observe tests, inspections or approvals required by the Contract Documents, Architect will do so promptly and, where practicable, at the normal place of testing.

vi. Tests or inspections conducted pursuant to the Contract Documents shall be made promptly to avoid unreasonable delay in the Work.

b. Contractor shall use and subscribe to an internet based project management program to electronically track critical Project correspondence, submittals, RFI's, meeting minutes and drawings. Contractor shall provide training to the Owner's entire Project Team and provide10 license agreements for the Owner and the Owner's Project Team.

EXHIBIT B
Contractor's Scope of Work

1. SCOPE OF PRECONSTRUCTION SERVICES (Whenever the term "Owner" is used, this shall also include the Project Manager):

a. Estimating and GMP Proposals:

i. Estimates shall be submitted at completion of Schematic Design, Design Development and Construction Documents in accordance with the chart below:

Estimate Type	Estimate Duration
Design Development Estimate	15 calendar days
Construction Document Estimate	15 calendar days

ii. The Contractor should be prepared to submit a Guaranteed Maximum Price (GMP) at the completion of the Design Development Estimate or Construction Document Estimate process if requested by the Owner.

iii. Contractor will provide ongoing formal value engineering and constructability analysis as required so that the Project may incorporate economies during the design, bid, or award phase and as may be required during the construction phase.

iv. All pre-GMP estimates shall include detailed Variance Reports, enabling the Owner or Architect and Engineer(s) to evaluate and verify that the design and estimating processes are meeting the Project budget requirements.

v. The Contractor shall provide individual "system" estimates as required to allow the Owner or Architect and Engineer(s) to evaluate and verify that the design and estimating processes are meeting the Project budget requirements.

vi. All estimates and GMP proposals shall be segregated by Project Elements or any other reasonable component of the Project.

b. Scheduling:

i. Current updated schedules will be required at least once per month and/or with each estimate requested above.

ii. Contractor will prepare and update as required a detailed Project Schedule utilizing the Critical Path Method that coordinates and integrates Owner's, A/E's, Contractor's, subcontractor's and all other related Project Work. Contractor to itemize design durations, purchasing durations, shop drawing requirements, fabrication, construction activities (all by trades); and identify long lead items to expedite the purchasing, fabrication and delivery of these items to the job site.

iii. Contractor will analyze market conditions with a view toward material availability and cost strategy, construction techniques, manpower levels and productivity, labor market, impact of seasonal conditions, union agreement expirations and any other factors, which may influence scheduling.

iv. All schedules shall be segregated by Project Elements or any other reasonable component of the Project.

c. Design participation and reviews:

i. Participation at bi-weekly Project design meetings will be required. In addition, other meetings as required for Budget analysis and value engineering will be required.

d. Apply for, obtain and pay for all Construction Permits:

i. Unless directed otherwise by the Owner, the Contractor will be responsible for obtaining and paying for all building permit(s). Depending on project phasing, some projects may require the Contractor to obtain and pay for multiple building

permits.

e. Purchasing for early “packages”, including sitework, foundations, steel, concrete, precast, natural stone, curtainwall, elevators and mechanical/electrical equipment, if directed by the Owner.

f. Contractor shall perform a complete visual and video survey of all adjacent structures to the project site. Contractor shall deliver a written report documenting all findings; report at a minimum shall include a written report, pictures, the video and other information as deemed appropriate.

2. SCOPE OF CONSTRUCTION SERVICES:

a. Estimating:
   i. Estimating as necessary to produce Project Cost and Budget Reports will be required. Estimates and Reports shall be segregated by Project Elements or any other reasonable component of the Project.
   ii. Estimating for Change Orders will be required.

b. Scheduling:
   i. Contractor will issue a Construction Schedule consistent with scheduling requirements of all Project Elements, including, as stated above, all team members activities. This schedule will be required to incorporate activity sequence and durations as agreed upon with subcontractors and vendors at award of contracts. Contractor will then monitor, adjust and modify schedule as required. Contractor will be required to provide all services, take action and bear all costs required to assure completion dates as agreed with Owner.

   ii. The schedules prepared by the Contractor as noted in this Exhibit and Article 4 of the Agreement shall be in the form of a CPM arrow network diagram, organized by numerically identified activities, and shall include: (1) subcontractor procurement process; (2) a shop drawing and submittal schedule noting the relevant submittal, approval, order, fabrication and delivery durations; (3) integration of the shop drawing and submittal schedule with the installation activity logic in order to determine the effect of delivery on installation of any items of work; (4) the planned progressions of construction work showing the activities and duration of the work of each contract phase and clearly noting any interim milestone dates; (5) the appropriate restraints in order to clearly identify the interrelationships of work and crew and trade flow; (6) logic (CPM arrow network) diagrams summarized into a summary bar chart format that is capable of displaying current progress of all Work; and (7) a computerized mathematical analysis of the CPM logic with each monthly schedule update that shows, at a minimum, the activity number, the activity description, trade responsibility, activity duration, early (target) start date, early (target) finish date, late start date, late finish date, work tasks critical to completion within the Contract Time and any interim milestone dates and total float within each phase of construction, including any interim milestone dates. Such schedules shall be produced using the latest release of the Primavera Project Planner project management program by Primavera Systems, Inc., or Microsoft Project Planner, or other scheduling software approved by the Owner, current as of the date of the submission of the Guaranteed Maximum Price. The Contractor shall deliver to the Owner, upon Owner’s request and in the format requested by the Owner, copies of all electronic files that comprise such schedules, including the original project schedule, all schedule updates, any recovery schedules and any schedule revisions.

iii. The construction schedule included in the approved GMP contract amendment shall be saved as the “Baseline Schedule” and used for comparison and tracking with all future schedule updates. The Baseline Schedule shall not be modified during construction without the approval of the Owner. At a minimum, the construction schedule shall be updated monthly and presented to the Owner with each application for payment.

iv. The shop drawing and submittal section of the schedule shall include reasonable time for the design team to review, process and return the shop drawings and submittals to the contractor. For some major submissions, the schedule should include time for revisions and resubmission of shop drawings and/or submittals. The submittal schedule needs to be coordinated with the design team and approved by the Owner prior to the start of the submittal process. In addition to being incorporated into the master project schedule, the shop drawing and submittal schedule can also be prepared in a chart form or as part of a project management software system.

c. Subcontract Bidding and Award:

i. Contractor will assemble, compose and issue appropriate subcontractor/vendor bid packages and specifications from the construction documents for the proper completion of the Project.

ii. Owner expects that significant effort will be required to obtain quality unit prices during the bid/award period. Owner reserves the right to advise and negotiate with regard to these unit prices.

iii. Work will include costs related to potentially proprietary systems installed by vendors or subcontractor's whose systems have significant long-term impact on Owner (e.g. HVAC Controls, Fire Alarm, etc.). Considerable care will be required to identify and evaluate these systems independently of the Mechanical and Electrical subcontractors.

iv. The Owner reserves the right to review and comment on any and all bid packages prior to being issued to the subcontractors.

v. Contractor will make recommendations for prequalification criteria for subcontract bidders. Owner will approve all bidders in writing prior to issuance of a bid package.

vi. Contractor shall obtain from all bidding subcontractors detailed bid breakdowns, with subcontractor schedules and manpower loading.

vii. The Contractor shall obtain bids from each qualified subcontractor bidding. All sealed bids will be opened in the presence of the Owner and the Project Manager. The Contractor and Owner will each take one copy of the subcontractor bid. A minimum of three (3) qualified bidders shall be selected to receive each bid package.

viii. For major subcontracts, the Contractor and Owner shall evaluate the submitted bids with Owner. The Owner will have the right to participate in the subcontractor bid review and subcontract negotiation and award meetings.

ix. The Contractor shall execute the subcontract for the work awarded at the subcontractor “closing meeting”. The purpose of executing the subcontract at the award meeting is to eliminate risk to the Owner by allowing the subcontractor to start work on the project without a signed agreement. The Owner shall receive a copy of the executed subcontract agreement prior to leaving the “closing meeting”. All subcontract awards shall be formally submitted for approval by the Contractor to the Owner in writing.

x. All bid packages will be reviewed by Owner regarding extent of scope and subcontractor involvement. At a minimum, the following shall be discrete bid packages and not combined with other bid packages without approval by the Owner:

1. Sitework

2. Landscaping
3. Cast-in-Place Concrete
4. Precast Concrete
5. Structural Steel
6. Masonry
7. Flooring
8. Drywall
9. Millwork
10. Painting
11. Glass & Glazing
12. Elevators
13. Miscellaneous Metals
14. Mechanical - HVAC
15. Plumbing
16. Fire protection
17. BMS/ATC, security system and fire alarm system
18. Testing and balancing
19. Electric
20. Telecommunication/data wiring and equipment
21. Long lead equipment (if necessary)

xi. All mechanical/electrical subcontractor shop drawings and mechanical/electrical coordination drawings shall be done on AutoCAD or Revit. All AutoCAD or Revit shop drawings and coordination drawings shall be turned over to the Owner.

xii. Allowances within subcontracts will not be permitted without prior consent of Owner.

xiii. It is assumed that all work will be performed by non-union trades unless otherwise agreed to by Owner.

xiv. Contractor shall obtain subcontractor “Time & Material” wage rate sheets.

xv. All bids/awards shall be segregated by Project Elements or any other reasonable component of the Project.

d. Execution of the Work:

i. Contractor will be responsible to construct the Project under a GMP Agreement with the Owner. Contractor will hire all subcontractors or self-perform all Work necessary for the Project.

ii. Contractor shall provide and maintain all temporary field facilities as required throughout the Project. Use of existing on-site buildings will not be permitted without prior consent of the Owner.

iii. Contractor shall maintain Safety Program, which is acceptable to Owner. In general, all Work shall comply with the latest OSHA standards, all jurisdictions with authority and shall be executed to the satisfaction of Owner.

iv. Contractor will provide an Emergency Response Team, as necessary for the Project in accordance with Contractor’s safety program.

e. Administering the Contract and Change Orders:

i. Contractor will be responsible for cost monitoring throughout the duration of the Project. This includes monitoring of the approved estimate of construction cost, showing actual cost for activities in progress and estimates of uncompleted tasks. Cost reports shall be issued monthly after start of construction as part of the monthly report. Cost report formatting will be subject to Project requirements and will be subject to approval by Owner.

ii. Contractor will conduct periodic Owner/Architect/Contractor coordination meetings to discuss procedures, progress, scheduling, contract budget status and other relevant issues. The frequency of these meetings will be at a minimum bi-weekly or more frequently as necessary to maintain adequate communications between all project team members.

iii. It is expected that the GMP will contain Allowance items. Contract terms will not be modified if Allowance Scope is not modified.

iv. Changes to the Project are common on most construction projects. If the GMP is increased or decreased as a result thereof, the General Conditions, Insurance, Bond and Fee will be adjusted within the parameters established by the Owner/Contractor Agreement. Subcontractor's markup, as defined in the General Conditions Exhibit A to the Owner/Contractor Agreement.

v. Subcontract Change Orders shall be submitted to the Owner for review and written approval prior to Contractor issuing to Subcontractor.

vi. All Subcontract Change Orders submitted to Owner shall have an estimate prepared by the Contractor to verify Subcontractor's request.

vii. All Subcontract Change Orders must be countersigned by subcontractor prior to request for payment for change order work.

viii. All contracts and change orders and GMP proposals shall be segregated by Project Elements or any other reasonable component of the Project.

f. Project Reports:

i. The Contractor shall provide the Owner with a Monthly Project Report which shall include the following:

1. Latest monthly estimate summary or a Project Budget/Cost Report. The Budget/Cost Report shall indicate all costs incurred and “committed” to date and the estimated remaining “uncommitted” costs required to complete the project. The actual and estimated costs shall be compared to the GMP breakdown (summary level and all detailed backup).
2. Overall project schedule status, Baseline Schedule versus actual progress to date, including without limitation, an updated version of the Construction Schedule.
3. “60” day short term “look ahead” schedule indicating the Contractor’s activities for the next 60 days.
4. Schedule narrative: A written status of the project schedule and status.
5. All direct work subcontractor’s contracts and change order status.
6. A “critical” issue narrative. The Contractor shall provide a written narrative on any major issues that are, or potentially could, affect the project schedule or budget.
7. Project cash flow projections.
8. Progress photos.

ii. All Budgets/Cost Reports and GMP proposals shall be segregated by Project Elements or any other reasonable component of the Project.

iii. The Contractor shall submit the monthly Project Report with the Contractor’s monthly Application for Payment. The Contractor’s monthly Application for Payment will not be reviewed and approved until the monthly Project Report is submitted to the Owner and Project Manager.

iv. Contractor shall provide an electronic copy and two (2) copies to Owner and Project Manager.

g. Applications for Payment:

i. Payment for stored materials will be subject to Owner's approval and in accordance with procedures as required by the Owner. It is anticipated that equipment and certain major elements of the work will be paid if properly stored, if vendor's invoice is received and an insurance certificate for the value of the stored material has been provided, and title to the material has passed to the Owner. Payment will not be made for common materials brought to site in bulk (e.g. drywall, conduit, pipe, etc.).

ii. Prepayment accounts for General Conditions are not allowed. No estimated General Conditions will be billed for the month, only actual, incurred costs. Contractor to provide actual invoices, bills and receipts to support the General

Conditions payment request.

iii. All Applications for Payment shall include certified Subcontractor Payment Requests and signed waivers of liens for the work performed under the billing period in accordance with the law in the state where the Work is being performed.

iv. All Applications for Payment shall be segregated by Project Elements or any other reasonable component of the Project, as requested by the Owner.

h. Field Work Authorizations:

i. The Contractor shall establish a cost control system (Field Work Authorization) that notifies the Owner of cost events for order of magnitude costs and potential schedule impacts; see Exhibit G. The purpose of this document is to provide the Owner with an early notification system of potential changes to the Work. The Contractor shall not proceed with any extra work within the GMP or beyond the GMP, without written authorization.

3. SCOPE OF POST-CONSTRUCTION SERVICES: The post-construction services are solely related to the initial occupancy of the facility by Owner. These include:

a. Operational and Maintenance Programs:

i. Contractor shall compile and deliver to Owner the required submittals, including but not limited to the following: Record drawings, guarantees and warranties, general releases and waivers of lien.

b. Start-up Assistance:

i. Contractor will coordinate all systems testing, commissioning and turnover.

c. Contractor will turn over systems to Owner in such a manner or grouping that Owner may operate the system or part of a system automatically and with full certification of authorities with jurisdiction.

d. Warranties: Compile and submit all Subcontractor warranties to Owner.

e. Subcontractor Closeout. Contractor shall issue a final request for subcontractor payment to the Owner for written review and approval. The final payment request shall include:

i. A subcontractor's final contract value summary including all change orders.
ii. Warranty letter.
iii. Final release of Liens (general release).
iv. Consent of Surety (if applicable).
v. Statement that all "punchlist" work is complete.
vi. Copy of all close-out documents in digital form.

f. Certificate of Substantial Completion and Certificate of Final Completion procedures:

i. When the Contractor is Substantially Complete, Contractor shall issue a letter to the Architect requesting a punchlist and issuance of an AIA Certificate of Substantial Completion (CSC). Contractor shall attach their own punchlist/incomplete items list to the request of the Architect.
ii. The Architect shall then perform a "punchlist" review, and issue the Certificate of Substantial Completion to the Contractor with the punchlist attached.
iii. The Contractor shall review and sign the Certificate of Substantial Completion and forward to the Owner.
iv. The Contractor shall complete all CSC punchlist within 30 days.
v. Upon completion of the punchlist, the Contractor shall issue three copies of Certificate of Final Completion (CFC) (per Exhibit J) to the Architect for review and signature.
vi. The Architect shall review the CFC and if they agree all punchlist items

established per the CSC are complete, shall sign and forward the CFC to the Owner for review and signature.

vii. The Owner, if they agree all CSC punchlist items are complete, will sign all three copies and return one original to the Architect and Contractor.

4. Work by the Owner:

a. Testing and inspection services.
b. Builder's Risk Insurance (unless the Contractor's Add Alternate is acceptable).
c. Permanent site survey and geodesic benchmark.

EXHIBIT F
Request for Substitution

Contract Award Date: _____

Contractor: _____

Project: _____

We hereby submit for your consideration the following product instead of the specified item for the above project:

Specified Item	Referenced On		
	Drawing	Spec. Section	Paragraph

Proposed Substitution:

Attach complete information on changes to Drawings and/or Specifications, which proposed substitution will require for its proper installation.

Submit with request, all samples and sustaining data to prove equal quality and performance to that which is specified. Clearly mark manufacturer's literature to indicate equality in performance.

Fill in the blanks:

1. Does the substitution affect dimensions shown on the Drawings?

   (__) Yes (__) No

   If Yes, clearly indicate changes:

   _____

   _____

2. Will the undersigned pay for changes to the building design, including engineering and detailing costs caused by the requested substitution?

   (__) Yes (__) No

   If No, fully explain:

   _____

   _____

3. What affect does the substitution have on the Contracts of other trades:

_____

_____

4. What affect does the substitution have on the construction schedule?

_____

_____

5. Manufacturer's warranties of the proposed and specified items are:

(__) Same (__) Different (explain on an attachment)

6. Reason for the Request for Substitution:

_____

_____

7. Itemized comparison of specified item(s) with the proposed substitution:

_____

_____

8. Accurate cost data comparing proposed substitution with product specified:

_____

_____

9. Designation of maintenance services and sources:

_____

_____

Certification of equal performance and assumption of liability for equal performance

The undersigned states that the function, appearance and quality are equivalent or superior to the specified item.

Submitted by:

_____

Signature Title

Firm: _____

Address: _____

_____

Telephone: _____

Signature shall be by person having authority to legally bind their firm to the above terms. Failure to provide legally binding signature will result in retraction of approval.

For Use by Architect/Engineer

(__) Accepted

(__) Accepted as Noted

(__) Not Accepted

(__) Received too late

By: _____

Date: _____

Remarks:

_____

_____

_____

_____

EXHIBIT G
Field Work Authorization Form

Date: _____

Job Number: _____

_____
_____
_____

Field Work Authorization #_____

Attention: _____

RE: - Additional Contractor/Subcontractor Work Authorization

Dear _____,

We have been authorized by Owner to proceed with the following scope of work:

_____

_____

_____

_____

Estimate for Work:

_____ is authorized to proceed with and complete the installation work as indicated.

Reviewed:

_____ Contractor Cost Control # _____
_____ Date

_____
Aegis Property Group Date

Thank you for your assistance in this matter. Should you have any questions or comments related to the above, please feel free to contact this office.

Very truly yours,

_____

cc: APG Acct. File
APG PM File

EXHIBIT H-1
Contractor's Progress Payment
Certification and Waiver of Claims and Liens

Contractor: _____

Project: _____

_____

Owner: _____

Application for
Payment For Period Ending: _____

Amount Approved for Payment: $ _____

The Contractor certifies that, upon receipt of the foregoing amount, certified by the Architect as due in connection with the application for a progress payment submitted with this Certification and Waiver of Claims and Liens, the Contractor: (a) has received payment in full for or on account of all amounts due under the contract or agreement for construction of all or part of the Project referenced above (as more fully described in the contract) through the end of the period covered by the application for payment, including any amounts due for extra or additional work, change orders, damages, delays, claims of any kind, or any other increase to the contract sum; and (b) waives, releases and forever discharges the Owner from any and all obligations and liabilities arising under or on account of the contract or agreement and the Project, or either of them, through the end of the period covered by the application for payment, including any obligations or liabilities for extra or additional work, change orders, damages, delays, interest, penalties for late payment, attorneys' fees, claims of any kind, or any other increase to the contract sum, and hereby expressly waives and relinquishes the right to have, file or maintain any mechanic's liens or claims against the Project, the building(s), the improvement, the land covered thereby and the lot or curtilage appurtenant thereto (the "Premises"), with the exception of additions, deletions or changes in the work directed by the Owner in accordance with the Contract Documents and/or the following specifically described claims for which written notice has been given to the Owner on the date indicated:

The Contractor certifies that all charges for labor, materials, services and every other nature in connection with the Contract for Construction for Work performed through the period covered by previous applications for payment have been paid in full, and that there remains no amount due, or claimed to be due, to any subcontractor, vendor, or individual furnishing labor or material in connection with such Work, with the exception of the following:

The Contractor hereby further declares and agrees that in the event that any lien or other claim should be brought against Owner, or the Project or Premises, the Contractor will protect the Owner and defend any suit or action brought against the Owner by reason of any lien or other form of claim or action arising out of the contract or agreement and hold the Owner harmless and indemnified therefrom.

Signed and sealed by the Contractor this _____ day of _____, 20___.

_____
CONTRACTOR

By: _____

Title: _____

CORPORATE SEAL

ACKNOWLEDGMENT AND AFFIDAVIT

STATE OF :
: ss.
COUNTY OF :

Be it remembered, that on this _____ day of _____ , 20___, before me appeared _____, who, being duly sworn according to law, did depose and say that he/she is the _____ of the contractor described in and which executed the foregoing Certification and Waiver of Claims and Liens; he/she signed, sealed and delivered same as the voluntary act and deed of contractor for the uses and purposes therein expressed; and that the facts set forth therein are true and correct to the best of his/her knowledge, information and belief.

Sworn to and Subscribed
before me this _____ day
of _____, 20__.

_____
Notary Public

My Commission expires: _____

Exhibit H-2

Contractor's Final Payment

Certification and Waiver of Claims and Liens

Contractor: _____

Project: _____

_____

Owner: _____

Amount Approved for Payment: $ _____

Submitted With the Contractor's
Application for Final Payment

The Contractor certifies that, upon receipt of the foregoing amount, certified by the Architect as due in connection with the application for final payment submitted with this Certification and Waiver of Claims and Liens, the Contractor: (a) has received payment in full for or on account of all amounts due under the contract or agreement for construction of all or part of the Project referenced above (as more fully described in the contract), including any amounts due for extra or additional work, change orders, damages, delays, claims of any kind, or any other increase to the contract sum; and (b) waives, releases and forever discharges the Owner from any and all obligations and liabilities arising under or on account of the contract or agreement and the Project, or either of them, through the end of the period covered by the application for payment, including any obligations or liabilities for extra or additional work, change orders, damages, delays, interest, penalties for late payment, attorneys' fees, claims of any kind, or any other increase to the contract sum, and hereby expressly waives and relinquishes the right to have, file or maintain any mechanic's liens or claims against the Project, the building(s), the improvement, the land covered thereby and the lot or curtilage appurtenant thereto (the "Premises"), with the exception of additions, deletions or changes in the work directed by the Owner in accordance with the Contract Documents and/or the following specifically described claims for which written notice has been given to the Owner on the date indicated:

The Contractor certifies that all charges for labor, materials, services and every other nature in connection with the Contract for Construction for Work performed through the period covered by previous applications for payment have been paid in full, and that there remains no amount due, or claimed to be due, to any subcontractor, vendor, or individual furnishing labor or material in connection with such Work, with the exception of the following:

The Contractor hereby further declares and agrees that in the event that any lien or other claim should be brought against Owner, or the Project or Premises, the Contractor will protect the Owner and

defend any suit or action brought against the Owner by reason of any lien or other form of claim or action arising out of the contract or agreement and hold the Owner harmless and indemnified therefrom.

Signed and sealed by the Contractor this _____ day of _____, 20___.

_____
CONTRACTOR

By: _____

Title: _____

CORPORATE SEAL

ACKNOWLEDGMENT AND AFFIDAVIT

STATE OF :
: ss.
COUNTY OF :

Be it remembered, that on this _____ day of _____ , 20____, before me appeared _____, who, being duly sworn according to law, did depose and say that he/she is the _____ of the contractor described in and which executed the foregoing Certification and Waiver of Claims and Liens; he/she signed, sealed and delivered same as the voluntary act and deed of contractor for the uses and purposes therein expressed; and that the facts set forth therein are true and correct to the best of his/her knowledge, information and belief.

Sworn to and Subscribed
before me this _____ day
of _____, 20__.

_____
Notary Public

My Commission expires: _____

Exhibit H-3

Subcontractor's Progress Payment

Certification and Waiver of Claims and Liens

Subcontractor: _____

Contractor: _____

Project: _____

_____

Owner: _____

Application for
Payment For Period Ending: _____

Amount Approved for Payment: $ _____

The Subcontractor certifies that, upon receipt of the foregoing amount, certified by the Architect as due in connection with the application for a progress payment submitted with this Certification and Waiver of Claims and Liens, the Subcontractor: (a) has received payment in full for or on account of all amounts due under the subcontract or agreement for construction of certain Work on the Project referenced above (as more fully described in the subcontract) through the end of the period covered by the application for payment, including any amounts due for extra or additional work, change orders, damages, delays, claims of any kind, or any other increase to the contract sum; and (b) waives, releases and forever discharges the Contractor and the Owner from any and all obligations and liabilities arising under or on account of the subcontract or agreement and the Project, or either of them, through the end of the period covered by the application for payment, including any obligations or liabilities for extra or additional work, change orders, damages, delays, interest, penalties for late payment, attorneys' fees, claims of any kind, or any other increase to the subcontract sum, and hereby expressly waives and relinquishes the right to have, file or maintain any mechanic's liens or claims against the Project, the building(s), the improvement, the land covered thereby and the lot or curtilage appurtenant thereto (the "Premises"), with the exception of additions, deletions or changes in the work directed by the Owner in accordance with the Contract Documents and/or the following specifically described claims for which written notice has been given to the Contractor and the Owner on the date indicated:

The Subcontractor certifies that all charges for labor, materials, services and every other nature in connection with the Subcontract for Work performed through the period covered by previous applications for payment have been paid in full, and that there remains no amount due, or claimed to be due, to any sub-subcontractor, vendor, or individual furnishing labor or material in connection with such Work, with the exception of the following:

The Subcontractor hereby further declares and agrees that in the event that any lien or other claim should be brought against the Contractor and/or the Owner, or the Project or Premises, the Subcontractor will protect the Contractor and/or the Owner and defend any suit or action brought against the Contractor and/or the Owner by reason of any lien or other form of claim or action arising out of the subcontract or agreement and hold the Contractor and/or the Owner harmless and indemnified therefrom.

Signed and sealed by the Subcontractor this _____ day of _____, 20___.

_____
SUBCONTRACTOR

By: _____

Title: _____

CORPORATE SEAL

ACKNOWLEDGMENT AND AFFIDAVIT

STATE OF :
: ss.
COUNTY OF :

Be it remembered, that on this _____ day of _____ , 20___, before me appeared _____, who, being duly sworn according to law, did depose and say that he/she is the _____ of the contractor described in and which executed the foregoing Certification and Waiver of Claims and Liens; he/she signed, sealed and delivered same as the voluntary act and deed of subcontractor for the uses and purposes therein expressed; and that the facts set forth therein are true and correct to the best of his/her knowledge, information and belief.

Sworn to and Subscribed
before me this _____ day
of _____, 20__.

_____
Notary Public

My Commission expires: _____

EXHIBIT H-4

Subcontractor's Final Payment

Certification and Waiver of Claims and Liens

Subcontractor: _____

Contractor: _____

Project: _____

_____

Owner: _____

Total Contract Amount: $ _____

Amount Paid to Date: $ _____

Final Payment Amount: $ _____

Amount Approved for Payment: $ _____

Submitted With the Subcontractor's Application for Final Payment

The Subcontractor certifies that, upon receipt of the foregoing amount, certified by the Architect as due in connection with the application for final payment submitted with this Certification and Waiver of Claims and Liens, the Subcontractor: (a) has received payment in full for or on account of all amounts due under the subcontract or agreement for construction of all or part of the Project referenced above (as more fully described in the subcontract), including any amounts due for extra or additional work, change orders, damages, delays, claims of any kind, or any other increase to the contract sum; and (b) waives, releases and forever discharges the Contractor and the Owner from any and all obligations and liabilities arising under or on account of the subcontract or agreement and the Project, or either of them, through the end of the period covered by the application for payment, including any obligations or liabilities for extra or additional work, change orders, damages, delays, interest, penalties for late payment, attorneys' fees, claims of any kind, or any other increase to the subcontract sum, and hereby expressly waives and relinquishes the right to have, file or maintain any mechanic's liens or claims against the Project, the building(s), the improvement, the land covered thereby and the lot or curtilage appurtenant thereto (the "Premises"), with the exception of additions, deletions or changes in the work directed by the Owner in accordance with the Contract Documents and/or the following specifically described claims for which written notice has been given to the Contractor and the Owner on the date indicated:

The Subcontractor certifies that all charges for labor, materials, services and every other nature in connection with the Subcontract for Work performed through the period covered by previous applications for payment have been paid in full, and that there remains no amount due, or claimed to be due, to any sub-subcontractor, vendor, or individual furnishing labor or material in connection with such Work, with the exception of the following:

The Subcontractor hereby further declares and agrees that in the event that any lien or other claim should be brought against the Contractor and/or the Owner, or the Project or Premises, the Subcontractor will protect the Contractor and/or the Owner and defend any suit or action brought against the Contractor and/or the Owner by reason of any lien or other form of claim or action arising out of the subcontract or agreement and hold the Contractor and/or the Owner harmless and indemnified therefrom.

Signed and sealed by the Subcontractor this _____ day of _____, 20___.

_____
SUBCONTRACTOR

By: _____

Title: _____

CORPORATE SEAL

ACKNOWLEDGMENT AND AFFIDAVIT

STATE OF :
: ss.
COUNTY OF :

Be it remembered, that on this _____ day of _____ , 20____, before me appeared _____, who, being duly sworn according to law, did depose and say that he/she is the _____ of the contractor described in and which executed the foregoing Certification and Waiver of Claims and Liens; he/she signed, sealed and delivered same as the voluntary act and deed of subcontractor for the uses and purposes therein expressed; and that the facts set forth therein are true and correct to the best of his/her knowledge, information and belief.

Sworn to and Subscribed
before me this _____ day
of _____, 20__.

_____
Notary Public

My Commission expires: _____

EXHIBIT I -1
Subcontract Performance Bond

Project: _____

Subcontract for: _____ Work

KNOW ALL PERSONS BY THESE PRESENTS, that

_____, a _____ corporation,
(Name of Subcontractor)

of _____, as
(Address of Subcontractor)

Principal (hereinafter called the "Principal"), and

_____, a _____ corporation,
(Name of Surety

of _____, as
(Address of Surety)

as Surety (hereinafter called the "Surety"), are held and firmly bound unto

_____ with offices located at

_____, a _____ corporation (hereinafter called the "Obligee"),

in the sum of _____ DOLLARS ($_____), for the payment of which sum well and truly to be made, the Principal and Surety bind themselves, and their respective heirs, administrators, executors, successors and assigns jointly and severally, firmly by these presents.

WHEREAS, the Principal and the Obligee have entered into a written Subcontract for certain construction work, as identified above, dated _____ (hereinafter called the "Subcontract"), in connection with the construction of the Project identified herein, all as more fully described and mentioned in said Subcontract and the Subcontract and Contract Documents identified therein, which are hereby incorporated in and made a part of this Bond with the same force and effect as if fully set forth at length herein; and

WHEREAS, the Subcontract and the other Contract Documents identified therein require the Principal to furnish this Subcontract Performance Bond to the Obligee.

NOW, THEREFORE, THE CONDITION OF THIS OBLIGATION IS SUCH, that if the above named Principal shall well and truly perform all of the undertakings, covenants, terms, conditions and provisions of said Subcontract within the time provided therein and any extensions thereof that may be granted by the Obligee, and during the life of any guarantees contained in or required under said Subcontract, and shall also well and truly perform all the undertakings, covenants, terms, conditions and agreements of any and all modifications of said Subcontract that may hereafter be made, and shall indemnify and save harmless the Obligee of and from any and all liability, loss, damage and expense, including costs and attorneys' fees, which the Obligee may sustain by reason of the Principal's failure, neglect and/or refusal so to do, or by reason of any other default of the Principal thereunder, or default of the Principal or Surety hereunder, then this obligation shall be null and void; otherwise it shall remain in full force and effect.

The Surety, for value received, agrees that its obligation shall in nowise be impaired or affected by any change, extension of time, alteration, addition, omission or other modification in or of the said Subcontract, the Contract Documents identified therein or the work to be performed thereunder, or by any act of forbearance of either the Principal or the Obligee toward the other with respect thereto, or by any reduction of any percentage of the Subcontract Sum retained by the Obligee under the Subcontract and the other Contract Documents identified therein, and the Surety does hereby waive notice of any and all such changes, extensions of time, alterations, additions, omissions, other modifications, acts of forbearance and/or reduction of retained percentage.

In addition to any other obligations it may have under this Performance Bond, the Subcontract, the other Contract Documents identified therein and applicable law, and not in limitation thereof, the Surety, for value received, agrees, if requested to do so by the Obligee, to perform fully and complete the Work mentioned and described in said Subcontract and any and all modifications thereof pursuant to and in accordance with the undertakings, covenants, terms, conditions and provisions thereof, if the Principal fails, neglects and/or refuses to so perform fully and complete said Work or shall otherwise be in default under said Subcontract and further agrees to commence the performance of said Work within ten (10) calendar days after notice thereof from an Officer of the Obligee of such failure, neglect and/or refusal or other default of the Principal and to perform and complete the same within the time required under said

Subcontract and any and all modifications thereof.

This Bond shall be for the sole benefit of the Obligee, its successors and assigns, unless otherwise specifically agreed in a writing signed by the Surety.

IN WITNESS WHEREOF, the Principal and Surety have hereunto affixed their corporate seals and caused this Bond to be duly executed and acknowledged by their duly authorized officers or representatives this _____ day of _____, 20___.

(Corporate Seal) _____
(Name of Principal)

Attest: By:_____

_____ Title:_____
(Secty/Asst. Secty)

(Corporate Seal) _____
(Name of Surety)

Attest: By:_____

_____ Title: Attorney-in-Fact
(Secretary)

NOTE: An original Power of Attorney bearing same date as Bond must be attached.

CORPORATE ACKNOWLEDGMENT

STATE OF :
: ss.
COUNTY OF :

On this day of , 20___, before me appeared , to me known, who being by me duly sworn, did depose and say that (s)he resided in ; that (s)he is the of , the corporation (Principal) described in and which executed the foregoing Performance Bond (hereinafter "Bond"); that (s)he knew the seal of said corporation; that the seal affixed to the foregoing Bond is the corporate seal of said corporation; and that the foregoing Bond was signed, sealed and delivered on behalf of said corporation by its authority duly given as the voluntary act and deed of said corporation.

IN WITNESS WHEREOF, the said has subscribed and sworn to the foregoing oaths before me, and I have hereunto set my hand and affixed my official seal the day and year first above written.

_____
NOTARY PUBLIC

(Seal)
My Commission Expires:

EXHIBIT I-2
Subcontract Labor
And Material Payment Bond

Project: _____

Subcontract for: _____ Work

KNOW ALL PERSONS BY THESE PRESENTS, that _____

_____, a _____ corporation,
(Name of Contractor)

of _____, as
(Address of Contractor)

Principal (hereinafter called the "Principal"), and _____

_____, a _____ corporation,
(Name of Surety

of _____, as
(Address of Surety)

as Surety (hereinafter called the "Surety"), are held and firmly bound unto

_____ (hereinafter called the "Obligee"), in the sum of

_____ DOLLARS ($_____), for the payment

of which sum well and truly to be made, the Principal and Surety bind themselves, and their respective heirs, administrators, executors, successors and assigns jointly and severally, firmly by these presents.

WHEREAS, the Principal and the Obligee have entered into a written Subcontract for certain construction work, as identified above, dated _____ (hereinafter called the "Subcontract"), in connection with the construction of the Project identified herein, all as more fully described and mentioned in said Subcontract and the Subcontract and Contract Documents identified therein, which are hereby incorporated in and made a part of this Bond with the same force and effect as if fully set forth at length herein; and

WHEREAS, the Subcontract and the other Contract Documents identified therein require the Principal to furnish this Subcontract Performance Bond to the Obligee.

NOW, THEREFORE, THE CONDITION OF THIS OBLIGATION is such that, if the Principal and any Subcontractor of the Principal to which any portion of the Work under the Subcontract shall be further subcontracted, shall promptly make payment to all claimants, as hereinafter defined, for all material

furnished and labor supplied or performed, including public utility services and reasonable rentals of equipment (but only for periods when the equipment rented is actually used at the site), then this obligation shall be void; otherwise it shall remain in full force and effect, subject, however, to the following conditions:

1. This Bond shall be solely for the protection of claimants supplying labor or materials in the prosecution of the Work provided for in the Subcontract to the Principal or to any Subcontractor of the Principal to which any portion of the Work under the Subcontract shall be further subcontracted. A Claimant is defined as a person, co-partnership, association or corporation who has furnished material or supplied or performed labor in the prosecution of the Work under the Subcontract, including public utility services and reasonable rentals of equipment (but only for periods when the equipment rented is actually used at the site).

2. The above-named Principal and Surety hereby jointly and severally agree with the Obligee that every claimant, as herein defined, who has performed labor or furnished material in the prosecution of the Work under the Subcontract and who has not been paid in full therefor before the expiration of ninety (90) days after the day on which such claimant performed the last of such labor or furnished the last of such materials for which it claims payment, may bring an action on this Bond in its own name to recover any amount due it for such labor or material and may prosecute such action to final judgment and have execution on the judgment. The provisions of this Bond shall be applicable whether or not the material furnished or the labor performed enters into and becomes a component part of the building, work or improvement contemplated by the Subcontract. The Obligee shall not be liable for the payment of any costs or expenses of any such suit.

3. No suit or action shall be commenced hereunder by any claimant:

(a) if the claimant has a direct contractual relationship with any Subcontractor of the Principal, but has no contractual relationship, express or implied, with the Principal, unless such claimant shall have given written notice to the Principal within ninety (90) days after such claimant did or performed the last of the Work or labor, or furnished the last of the materials for which said claim is made, stating with substantial accuracy the amount claimed and the name of the party to whom the materials were

furnished, or for whom the Work or labor was done or performed. Such notice shall be served by mailing same registered mail or certified mail, postage prepaid, in an envelope addressed to the Principal at any place where an office is regularly maintained for the transaction of business, or served in any manner in which legal process may be served in the manner now or hereafter provided by law for the service of a summons, except that such service need not be made by a public officer;

(b) after the expiration of one (1) year following the date on which Principal ceased work on said Subcontract; it being understood, however, that if any limitation embodied in this Bond is prohibited by any law controlling the construction hereof, such limitation shall be deemed to be amended so as to be equal to the minimum period of limitation permitted by such law;

(c) other than in a state court of competent jurisdiction in and for the county or other political subdivision of the state in which the Project, or any part thereof, is situated, or in the United States District Court for the district in which the Project, or any part thereof, is situated, and not elsewhere.

4. The amount of this Bond shall be reduced by and to the extent of any payment or payments made in good faith hereunder by Surety.

IN WITNESS WHEREOF, the Principal and Surety have hereunto caused this Bond to be duly executed and acknowledged as set forth below this day of , 199 _.

(Corporate Seal) _____
(Name of Principal)

Attest: By:_____

_____ Title:_____
(Secty/Asst. Secty)

(Corporate Seal) _____
(Name of Surety)

Attest: By:_____

_____ Title: Attorney-in-Fact
(Secretary)

NOTE: An original Power of Attorney bearing same date as Bond must be attached.

CORPORATE ACKNOWLEDGMENT

STATE OF_____ :
: ss.
COUNTY OF _____ :

On this ____ day of _____, 20___, before me appeared _____ _____ , to me known, who being by me duly sworn, did depose and say that (s)he resided in _____; that (s)he is the _____ of _____, the corporation (Principal) described in and which executed the foregoing Labor and Material Payment Bond (hereinafter "Bond"); that (s)he knew the seal of said corporation; that the seal affixed to the foregoing Bond is the corporate seal of said corporation; and that the foregoing Bond was signed, sealed and delivered on behalf of said corporation by its authority duly given as the voluntary act and deed of said corporation.

IN WITNESS WHEREOF, the said _____ has subscribed and sworn to the foregoing oaths before me, and I have hereunto set my hand and affixed my official seal the day and year first above written.

_____
NOTARY PUBLIC

(Seal)
My Commission Expires:

EXHIBIT I-3

Dual Obligee Rider

For Subcontract Surety Bonds

This Rider is to be attached to and forms a part of Subcontract Performance and Labor and Material Payment Bond No.s _____ issued by _____ (hereinafter referred to as "Surety"), as Surety, on the _____ day of _____, 20__ .

WHEREAS, on or about the _____ day of _____, 20___, _____ (hereinafter called the "Principal"), entered into a written agreement with _____ (hereinafter called the "Primary Obligee") for the construction of certain _____ work on the _____ Project (hereinafter called the "Subcontract"); and

WHEREAS, the Principal and the Surety executed and delivered to said Primary Obligee their Subcontract Performance Bond No. _____ and Subcontract Labor and Material Payment Bond No. _____ ("Surety Bonds") in connection with the Subcontract, and

WHEREAS, the Primary Obligee has requested the Principal and the Surety to Execute and deliver this Dual Obligee Rider for the Surety Bonds and the Principal and the Surety have agreed to do so.

NOW, THEREFORE, notwithstanding any contrary terms of the Surety Bonds or Subcontract, the undersigned hereby agree and stipulate _____ shall be added as a named obligee (hereinafter referred to as "Additional Obligee") to the Surety Bonds, subject to the conditions set forth below:

1. In the event of a material default in performance by the Primary Obligee to the Principal under the terms of the Subcontract, the right of the Additional Obligee to recover hereunder shall be subject to the condition that the Additional Obligee remedies said material performance default and thereafter continues to perform as required under the terms of the Subcontract.

2. The aggregate liability of the Surety under the Surety Bonds, to any or all of the obligees (Primary and Additional Obligees), as their interests may appear, is limited to the total penal sum of the Surety Bonds.

Signed, sealed and dated this _____ day of _____, 20____.

(Corporate Seal) _____

(Name of Principal)

Attest: By:_____

_____ Title:_____

(Secty/Asst. Secty)

(Corporate Seal) _____

(Name of Surety)

Attest: By:_____

_____ Title: Attorney-in-Fact

(Secretary)

NOTE: An original Power of Attorney bearing same date as Bond must be attached.

EXHIBIT J
Certificate of Final Completion

3. CERTIFICATE OF

FINAL COMPLETION

Number:

Owner []
Architect []
Contractor []
Other: []

PROJECT: _____
_____
_____

PROJECT NO: _____

CONTRACT FOR: _____

CONTRACT DATE: _____

TO OWNER: Same as above

TO CONTRACTOR: _____
_____
_____

DATE OF ISSUANCE: _____
PROJECT OR DESIGNATED PORTION SHALL INCLUDE:

The Architect has inspected the work and finds to the Architects best knowledge, information, and belief, that the work, including all punch list items established at the time of substantial completion, has been completed in accordance with the contract documents. The date of final completion is hereby established as

_____

_____ _____ _____
1. ARCHITECT ***BY*** ***DATE***

_____ _____ _____
2. CONTRACTOR ***BY*** ***DATE***

The Owner accepts the work or designated portion thereof as complete and will assume full possession thereof.

_____ _____ _____
3. OWNER ***BY*** ***DATE***

EXHIBIT K
Contractor's Warranty Certificate

The undersigned, _____(the "Contractor"), hereby makes the following warranties to _____, its successors and assigns (the "Owner"), for certain work and/or the supplying of certain materials ("Work") in connection with the Project of _____ pursuant to the Agreement between the Owner and the Contractor dated as of _____ (the "Agreement")

1. That all material and equipment furnished under the Agreement is new, and that all Work is of first-class quality, free from faults and defects, and in conformance with the Contract Documents. All Work not conforming to these requirements, including substitutions not properly approved and authorized, shall be considered defective;

2. That the Contractor shall promptly correct all Work rejected by the Owner or the Architect as defective or as failing to conform to the Contract whether observed before or after final payment for the Work and whether or not fabricated, installed, or completed. The Contractor shall bear all costs of correcting such rejected Work;

3. That, if within one year after Substantial Completion of the Work, as referenced in the Agreement, or within such longer period of time as may be described in Exhibit A to this Certificate or elsewhere in the Owner-Contractor Agreement or in the General Conditions of the Agreement, any of the Work or equipment is found to be defective or not in accordance with the Contract Documents, the Contractor shall correct it promptly after receipt of a written notice from the Owner and Architect to do so. The Owner or the Architect shall give such notice promptly after discovery of the condition;

4. All Subcontractors employed by the Contractor have each warranted their portion of the Work for the Warranty Period which warranties inure to the benefit of the Owner and the Lender and the Contractor, their respective successors and assigns and may be enforced by the Owner, the Lender and the Contractor. The Contractor does hereby further warrant that during the Warranty Period, the Contractor shall make good at its own cost and expense all defects in the Work or equipment and all damage caused by such defects or by the Work or equipment required to remedy such defects. All corrections to defective Work or equipment shall be made at the convenience of the Owner;

5. That the Contractor has obtained guarantees from its material and equipment suppliers for the Warranty Period and said guarantees inure to the benefit of the Owner and the Contractor and any successors or assigns and may be enforced by the Owner and the Contractor;

6. That this warranty shall inure to the benefit of the Owner, the Lender and the Contractor and their respective successors or assigns and may be enforced by each of them.

It is understood that this warranty shall in no way be construed to affect in any manner any of the provisions of the Agreement to modify or limit any of the obligations, liabilities, and duties of the Contractor thereunder.

It is further understood that this warranty shall remain binding and irrevocable during the above stated periods, and that the Contractor shall not contest the validity of, or in any way attempt to revoke or withdraw from this warranty for any cause whatsoever, whether arising before or after the execution of the Contract or of this warranty.

The capitalized terms used in this warranty not otherwise defined herein shall have the same meaning herein as in the Agreement.

IN WITNESS WHEREOF, we have caused this instrument to be signed by our duly authorized officers and our corporate seal to be hereunto affixed the ___ day of _____, 20___.

CONTRACTOR:

By: _____

[Corporate Seal]

Exhibit A to Warranty Certificate
List of Warranties that are effective for
more than one year or commence at a time other
than Substantial Completion

TO BE DETERMINED.

COMMONWEALTH OF PENNSYLVANIA :
OR
STATE OF NEW JERSEY :
: SS
COUNTY OF _____ :

On this, the _____ day of _____, before me, the subscriber, a Notary Public in and for the county of _____, personally appeared _____, who acknowledged himself to be the _____ of _____, and that he as such _____ executed the foregoing instrument for the purposes therein.

IN WITNESS WHEREOF, I have hereunto set my hand and notarial seal.

_____
NOTARY PUBLIC
MY COMMISSION EXPIRES: